

SECURITIES AND EXCHANGE COMMISSION

SEC FORM 17-Q

QUARTERLY REPORT PURSUANT TO SECTION 17 OF THE SECURITIES
REGULATION CODE AND SRC RULE 17 (2)(b) THEREUNDER

1. For the quarterly period ended: September 30, 2025
2. Commission Identification Number: 845
3. BIR Tax Identification No.: 000-508-536-000
4. Exact name of registrant as specified in its charter **SOLID GROUP INC.**
5. Province, Country or other jurisdiction
of incorporation: Philippines
6. _____ (SEC Use Only)
Industry Classification Code
7. Address of principal office: Postal Code: 1231
2285 Don Chino Roces Avenue, Makati City,
Philippines
8. Telephone No: (632) 8843-1511
9. Former name, former address and former fiscal year,
if changed since last report: N/A
10. Securities registered pursuant to Sections 8 and 12 of the Code, or Sections 4 and 8 of the
RSA

Title of Each Class	Number of Shares of Common Stock Outstanding and Amount of Debt Outstanding
Common Stock, P1 par value	1,821,542,000 shares
11. Are any or all of the securities listed on the Philippine Stock Exchange?
Yes [☒] No [☐]

If yes, state the name of such Stock Exchange and the classes of securities listed therein:

Philippine Stock Exchange Common

12. Indicate by check mark whether the registrant:

(a) has filed all reports required to be filed by Section 17 of the Code and SRC Rule 17 thereunder or Sections 11 of the RSA and RSA Rule 11(a)-1 thereunder, and Sections 26 and 141 of the Corporation Code of the Philippines, during the preceding 12 months (or for such shorter period the registrant was required to file such reports)

Yes [X]

No []

(b) has been subject to such filing requirement for the past 90 days.

Yes [X]

No []

PART I. – FINANCIAL INFORMATION

Item 1. Financial Statements

The unaudited consolidated financial statements of the Company and its subsidiaries for the nine (9) months period ended September 30, 2025 are attached to this report.

Item 2. Management Discussion and Analysis of Financial Condition and Results of Operations

Key Performance Indicators

The following key performance indicators are identified by the Company and included in the discussion of the results of operations and financial condition: revenue growth, asset turnover, operating expense ratio, earnings before interest, taxes, depreciation and amortization (EBITDA), earnings per share (EPS), current ratio and debt to equity ratio.

Key performance indicators for 2025 and 2024 are as follows:

	<u>2025</u>	<u>2024</u>
Revenue growth (decline)	24%	6%
Asset turnover	20%	17%
Operating expense ratio	20%	23%
EBITDA	P706 million	P471 million
EPS	P0.25	P0.15
Current ratio	8.54 : 1	7.45 : 1
Debt to equity ratio	0.20 : 1	0.21 : 1

Revenue growth (decline) is determined as follows: revenues for the current period less revenues for last period divided by the revenues of the previous period.

Asset turnover is computed based on the revenues (annualized) earned during the period divided by the average total assets.

Operating expense ratio is calculated as follows: operating expenses for the period divided by revenues for period.

EBITDA is determined by adding back interest expense, depreciation and amortization charges, to income from operations before income tax for the period.

Earnings per share (EPS) is computed based on the net income or loss for the period divided by the weighted average shares outstanding during the year.

Current ratio is computed as follows: total current assets as of end of the period divided by total current liabilities as of end of the period.

Debt to equity ratio is computed by dividing the total liabilities excluding amounts due to related parties as of end of the period by the total equity as of end of the period.

Revenue grew by 24% in the first nine months of 2025, a notable improvement over the 6% increase in the same period last year driven by significant growth in leasing operations across various locations, increased sales of retail electronic products and continued expansion of logistics services.

Asset turnover improved to 20% for the first nine months of 2025, from 17% in the same period of 2024, driven by higher revenue generation during the period.

Operating expense ratio decreased to 20% for the first nine months of 2025, compared to 23% in the same period of 2024, primarily due to higher revenue.

EBITDA rose to P706 million, compared to P471 million in the same period last year, primarily due to higher income for the period.

Earnings per share went up to P0.25 for the first nine months of 2025 from earnings per share of P0.15 for the same period in 2024 mainly from higher net income for the period.

The current ratio increased to 8.54:1 as of September 30, 2025, from 7.45:1 as of December 31, 2024. The increase was mainly driven by lower current liabilities during the period.

The debt-to-equity ratio stood at 0.20:1 as of September 30, 2025, from 0.21:1 as of December 31, 2024 from higher equity.

Results of Operations

Revenues for the first nine months of 2025 amounted to P2,299 million, an increase of 24% from P1,856 million for the same period in 2024. The growth was mostly driven by higher revenues from the leasing operations of the property and related services, logistics services of the logistics and technical solutions, and retail sales of the distribution/retail segments.

Sale of goods increased by 6% reaching P1,035 million in the first nine months of 2025 compared to P978 million in the same period of 2024 primarily attributable to sales improvement in the distribution/retail segment, supported by higher institutional sales and expansion of store presence.

Service revenue rose by 27% to P739 million in the first nine months of 2025, up from P581 million in the same period of 2024. The increase was primarily driven by growth in logistics operations, the successful execution of the integration project, and improved performance in hotel and events operations.

Rental income doubled, increasing by 102% to P459 million in the first nine months of 2025 from P227 million in the same period of 2024 bolstered by the commencement and expansion of leasing operations in various locations under the property & related services segment.

Interest income rose by 8% to P65 million in the first nine months of 2025, up from P61 million for the same period in 2024 mainly due to higher time deposit placements of investment & others segment.

Sale of real estate was nil in the first nine months of 2025 compared to P8 million in the same period of 2024 from the sale of a condominium unit.

Cost of sales, services, real estate sold and rentals rose by 16% to P1,437 million in the first nine months of 2025 from P1,243 million in the same period in 2024, as discussed below.

Cost of sales amounted to P823 million in the first nine months of 2025, an increase of 5% from P781 million in the same period last year associated to higher sales.

Cost of services reached P524 million in the first nine months of 2025 compared to P393 million in the same period of 2024 mainly due to higher integration cost from completed integration projects and increased subcontracting costs associated with the expansion of logistics activities.

Cost of rentals climbed by 37% to P89 million in the first nine months of 2025 from P65 million in the same period of 2024 attributable to higher rental income under the property & related services segment.

Cost of real estate sold was nil in the first nine months of 2025 from P3.9 million in the same period of 2024.

Gross profit went up to P862 million for the first nine months of 2025 from P612 million for the same period in 2024 predominantly because of higher gross profit from lease operations of newly constructed warehouse in Calamba, Laguna of the property & related services segment.

Other operating expenses (income) amounted to P317 million for the first nine months of 2025 from P385 million for the same period of 2024 as explained below.

General and administrative expenses went down slightly to P317 million for the first nine months of 2025 from P319 million for the same period of 2024. There was no material change for this account.

Selling and distribution costs increased by 20% to P138 million in the first nine months of 2025, up from P116 million in the same period of 2024 attributable to higher commissions, delivery expenses and selling & bank charges related to credit card transactions of the distribution/retail segment.

Other operating income – net grew to P138 million in the first nine months of 2025, marking a 175% increase from P50 million in the same period of 2024. This significant growth was mainly driven by additional income from the reimbursement of incremental investment costs charged by Precos, Inc. to the lessee for obtaining LEED Gold Certification for the leased premises under the property & related services segment.

Operating profit escalated by 139% reaching P544 million for the first nine months of 2025 compared to P227 million in the same period of 2024 significantly due to improved gross profit and other operating income as explained above.

Other income (charges) amounted to P54 million income in the first nine months of 2025, compared to P183 million in the same period of 2024. The decrease was principally due to the following:

Finance costs increased significantly by 1656% to P45 million for the first nine months of 2025 from P2.5 million in the same period of 2024, mainly from interest on loans used to partially finance the construction of a warehouse in Calamba, Laguna, under the property & related services segment. In the comparable period last year, these interest expenses were capitalized as borrowing costs under investment properties, in accordance with accounting standards. Capitalization ceased upon the issuance of the initial certificate of completion in October 2024, after which related interest expenses were recognized in profit or loss.

Finance income declined by 29% to P78 million in the first nine months of 2025, from P110 million in the same period of 2024. The decrease was principally attributed to lower interest income resulting from reduced investible funds in time deposits under the property & related services segment. In addition, foreign currency gains were recognized in 2024 from USD-denominated dividend income, whereas no similar transactions occurred in 2025.

Other gains – net amounted to P20 million in the first nine months of 2025, representing a 72% decrease from P74 million in the same period of 2024. The decline was primarily due to the gain on sale of a road lot recognized in 2024 under the property & related services segment, with no similar transaction recorded in 2025.

Profit before tax reached P598 million for the first nine months of 2025, an increase of 46% from P410 million in the same period of 2024. The growth was largely driven by higher operating profit, as discussed above, reflecting improved performance across key business segment.

Tax expense grew by 31% to P135 million for the first nine months of 2025 from P102 million in the same period in 2024. The growth was principally due to deferred tax expense recognized in 2025 arising from temporary differences related to the depreciation of investment properties and PFRS16 adjustments. In contrast, deferred tax income was recorded in 2024 following the reversal of deferred tax liabilities associated with investment properties sold under the property & related services segment.

Net profit climbed by 51% to P463 million for the first nine months of 2025 as compared to P307 million in the same period of 2024 mainly due to higher operating profit for the period.

Net profit attributable to equity holders of the parent realized P456 million for the first nine months of 2025 against P268 million net profit in the same period of 2024 as discussed above.

Net profit attributable to non-controlling interests (NCI) amounted to P7 million and P38 million for the first nine months of 2025 and 2024, respectively. This represents minority share in net profit for the period.

Financial Position

Cash and cash equivalents declined by 17% to P2,554 million as of September 30, 2025 from P3,077 million as of December 31, 2024. Cash was principally provided from investing activities attributed to increase in short-term placements.

Short-term placements surged by 284% to P768 million as of September 30, 2025, from P200 million as of December 31, 2024, due to higher investible funds placed in time deposits with maturities of 91 days or more.

Trade and other receivables posted a 27% growth to P553 million as of September 30, 2025 from P435 million as of December 31, 2024, largely due to increase in rental receivables from the property & related services segments and loans receivables from investment & other segment. Trade customers are generally established and stable companies with reasonable assurance of collectibility of their accounts. Nonetheless, trade accounts are periodically reviewed to assess the possible losses from non-collection and allowance is provided for possible losses on accounts which are considered doubtful of collection.

Advances to related parties was slightly down to P6.4 million as of September 30, 2025, compared to P6.6 million as of December 31, 2024. There was no material change for this account.

Merchandise inventories and supplies – net decreased by 20% to P283 million as of September 30, 2025, from P353 million as of December 31, 2024. The decline was largely attributable to the recognition of completed integration projects under the distribution/retail segment during the period.

Real estate inventories remained at P424 million for both periods. There was no change for this account.

Other current assets totaled P545 million as of September 30, 2025 compared with P567 million as of December 31, 2024 with no material movement during the period.

Total current assets reached P5,137 million as of September 30, 2025 from P5,066 million as of December 31, 2024 mainly from higher short-term placements and trade and other receivables - net as discussed above.

Non-current trade and other receivables rose to P467 million as of September 30, 2025 from P453 million as of December 31, 2024. There was no material change for this account.

Financial assets at fair value through other comprehensive income was maintained at P74.2 million as of September 30, 2025 and as of December 31, 2024. There was no change for this account.

Investment in an associate stood at P38 million as of September 30, 2025, unchanged from December 31, 2024. This balance represents deposits for a planned increase in the authorized capital stock of Fekon Solid Motorcycle Mfg. Corp. In prior years, the Group recognized a cumulative impairment loss of P50 million following a continuous reassessment of the associate's business outlook and financial performance.

Investment in bonds was P20 million as of September 30, 2025 and as of December 31, 2024 from investment made in 2021.

Property and equipment totaled P1,612.7 million as of September 30, 2025 and P1,612.5 million as of December 31, 2024, indicating no material change in this account.

Investment properties – net went up to P8,180 million as of September 30, 2025 from P8,041 million as of December 31, 2024. There was no material change for this account.

Rights-of-use (ROU) assets – net decreased to P582 thousand as of September 30, 2025 from P3.0 million as of December 31, 2024 primarily due to depreciation of ROU assets under PFRS 16, Leases.

Post-employment benefit assets - net was valued at P131 million as of September 30, 2025 and as of December 31, 2024. There was no change for this account.

Deferred tax assets - net amounted to P12 million as of September 30, 2025 and as of December 31, 2024. There was no change for this account.

Other non-current assets increased slightly to P48.3 million as of September 30, 2025 from P48.2 million as of December 31, 2024. There was no significant change for this account.

Total non-current assets grew to P10,585 million as of September 30, 2025 from P10,434 million as of December 31, 2024 mainly from higher investment properties.

Total assets reached P15,772 million as of September 30, 2025 from P15,500 million as of December 31, 2024 as explained above.

The current portion of interest-bearing loans amounted to P29 million as of September 30, 2025, compared to nil in 2024. This increase reflects the reclassification of a portion of the long-term loan in accordance with PFRS 9, which requires that any portion of a loan maturing within 12 months after the reporting date be classified as a current liability.

Trade and other payables decreased by 17% to P548 million as of September 30, 2025 compared to P658 million as of December 31, 2024 principally from reclassification of refundable deposits to unearned rental, which were subsequently applied to rental income during the period under the property & related services segment, as well as the payment of dividends payable to stockholders.

Customers' deposits soared by 749% to P10.8 million as of September 30, 2025, up from P1.2 million as of December 31, 2024, driven by additional deposits from customers in the distribution/retail segment.

Current lease liabilities dropped by 74% to P890 thousand as of September 30, 2025 from P3.4 million as of December 31, 2024 due to amortization of lease liabilities for the period.

Income tax payable was down by 31% to P12 million as of September 30, 2025 from P17 million as of December 31, 2024 from lower regular corporate income tax expense for the period.

Total current liabilities declined by 12% to P601 million as of September 30, 2025 from P680 million as of December 31, 2024 due to lower trade and other payables.

Interest-bearing loans decreased slightly to P845 million as of September 30, 2025, from P875 million as of December 31, 2024. This reduction was chiefly due to the reclassification of P29 million to the current portion, in accordance with PFRS 9, which requires liabilities maturing within 12 months after the reporting date to be classified as current. These loans were used to partially finance the construction of the now completed warehouse facility in Calamba, Laguna, under the property & related services segment.

Non-current refundable deposits remained at P21 million as of September 30, 2025, unchanged from December 31, 2024.

Non-current lease liabilities stood at P0.50 million for both periods.

Post-employment benefit obligation totaled P29 million as of September 30, 2025 and as of December 31, 2024. This represents the unfunded retirement obligation of certain subsidiaries.

Deferred tax liabilities -net jumped to P1,171 million as of September 30, 2025, from P1,126 million as of December 31, 2024. The growth was primarily due to deferred tax expense recognized in 2025, arising from temporary differences related to the depreciation of investment properties and PFRS16 adjustments affecting current income tax.

Total non-current liabilities was recognized at P2,068 million as of September 30, 2025 and P 2,053 million as of December 31, 2024.

Total liabilities amounted to P2,670 million as of September 30, 2025 from P2,734 million as of December 31, 2024 as discussed above.

Capital stock stood at P2,030 million as of September 30, 2025 and December 31, 2024.

Additional paid-in capital was maintained at P4,641 million as of September 30, 2025 and as of December 31, 2024.

Treasury shares amounted to P115 million as of September 30, 2025 and as of December 31, 2024.

Revaluation reserves rose marginally by 2% to P187 million as of September 30, 2025 from P182 million as of December 31, 2024. There was no material change for this account.

Retained earnings increased to P6,005 million as of September 30, 2025, from P5,731 million as of December 31, 2024. The growth reflects the net profit attributable to the parent company for the period, net of dividends declared to stockholders.

Total equity attributable to Equity holders of Parent increased to P12,750 million as of September 30, 2025 and P12,471 million as of December 31, 2024.

Non-controlling interests totaled P302 million as of September 30, 2025 and P294 million as of December 31, 2024. There was no material change for this account.

Total equity amounted to P13,052 million as of September 30, 2025 from P12,766 million as of December 31, 2024 as discussed above.

i. Known Trends or Demands, Commitments, Events or Uncertainties that will impact Liquidity.

The Company is not aware of any known trends, demands, commitments, events or uncertainties that will materially impact on its liquidity.

ii. Events that will trigger Direct or Contingent Financial Obligation that is material to the Company, including any default or acceleration of an obligation.

As disclosed in the Notes to the financial statements under Contingencies, certain subsidiaries of the Company are involved in litigation or other proceedings. Management believes that the outcomes of these matters, individually or in aggregate, are not expected to have a material adverse effect on the Company's financial results, operations and prospects. Other than these contingencies, the Company is not aware of any events that could give rise to significant direct or contingent financial obligations

iii. Material Off-Balance Sheet Transactions, Arrangements, Obligations (including contingent obligations), and other relationships of the Company with unconsolidated entities or other persons created during the reporting period.

The Company has no material off-balance sheet transactions, arrangements, obligations and other relationships with unconsolidated entities or other persons created during the period that is not included in the financial statements.

iv. Material Commitments for Capital Expenditures, the general purpose of the Commitment and Expected Sources of Funds

The Company estimates capital expenditures of P710 million for 2025, covering various real estate developments, renovation and upgrades of facilities, and transportation equipment. The acquisition and/or construction of these capital expenditures will be funded primarily from the Company's own funds, with a portion financed through loans.

- v. Known Trends, Events or Uncertainties that will impact Sales/Revenues/Income from Continuing Operations

None

- vi. Significant elements of Income or Loss that did not arise from Continuing Operations

None

- vii. Causes for any Material Changes from Period to Period

Precos Inc., a wholly-owned subsidiary of SGI, is engaged in real estate and related businesses. In 2024, it completed a 10.5-hectare, LEED-accredited distribution facility on its Laguna property, developed under a Built-to-Specification Agreement with an international logistics provider. The project, with a total investment of P3.0 billion, began commercial operations on August 1, 2024, under a 15-year lease with a renewal option for five years. The facility contributed P113.2 million in leasing revenue and P67 million in net profit in 2024, and is projected to generate P273 million in leasing revenue, a P76 million one-time gain, and P238 million in net profit in 2025. The long-term partnership is expected to provide sustainable revenue streams and support the Group's continued financial growth.

Based on the 2024 appraisal reports, the Company recognized P263 million in fair value gains on its investment property as of year-end 2024.

- viii. Seasonal Aspects that had Material Effect on the Financial Condition or Results of Operations

There were no significant seasonality in the Company's business that materially affects financial condition or results of operations.

PART II – OTHER INFORMATION

The Board of Directors approved the declaration of a cash dividend in the amount of P0.10 per share for stockholders of record as of July 15, 2025, which was paid on August 7, 2025. On the same date, the Board also approved the Amended Material Related Party Transactions Policy.

SIGNATURES

Pursuant to the requirements of the Securities Regulation Code, the issuer has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized.

SOLID GROUP INC.

A handwritten signature in black ink, appearing to be 'S. Tan', written over a horizontal line.

SUSAN L. TAN

President & Chief Executive Officer

A handwritten signature in black ink, appearing to be 'V. Lim', written over a horizontal line.

VINCENT S. LIM

SVP & Chief Financial Officer and Chief Risk Officer

November 13, 2025

Solid Group Inc. and Subsidiaries

Unaudited Consolidated Financial Statements as of September 30, 2025
and for the Nine Months Period Ended September 30, 2025 and
September 30, 2024

(with Comparative Audited Consolidated Statements of Financial Position
as of December 31, 2024)

SOLID GROUP INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF FINANCIAL POSITION
SEPTEMBER 30, 2025 AND DECEMBER 31, 2024
(Amounts in Philippine Pesos)

	<u>Notes</u>	<u>September 30, 2025</u>	<u>December 31, 2024</u>
<u>ASSETS</u>			
CURRENT ASSETS			
Cash and cash equivalents	5	P 2,554,540,628	P 3,077,901,933
Short-term placements	5	768,328,962	200,271,182
Trade and other receivables - net	6	553,680,109	435,752,121
Advances to related parties	25	6,459,692	6,697,750
Merchandise inventories and supplies - net	8	283,744,390	353,571,041
Real estate inventories - net	9	424,967,513	424,967,513
Other current assets	13	<u>545,407,827</u>	<u>567,193,877</u>
Total Current Assets		<u>5,137,129,121</u>	<u>5,066,355,417</u>
NON-CURRENT ASSETS			
Trade and other receivables	6	467,022,995	453,107,767
Financial assets at fair value through other comprehensive income	7	74,200,000	74,200,000
Investment in an associate	7	38,022,714	38,022,714
Investment in bonds	7	20,000,000	20,000,000
Property and equipment - net	11	1,612,748,528	1,612,580,486
Investment properties - net	12	8,180,903,235	8,041,681,277
Right-of-use asset - net	10	582,198	3,004,500
Post-employment benefit asset - net	21	131,204,872	131,204,872
Deferred tax assets - net	22	12,554,960	12,554,960
Other non-current assets - net	13	<u>48,381,256</u>	<u>48,214,008</u>
Total Non-current Assets		<u>10,585,620,758</u>	<u>10,434,570,584</u>
TOTAL ASSETS		<u>P 15,722,749,879</u>	<u>P 15,500,926,001</u>

	<u>Notes</u>	<u>September 30, 2025</u>	<u>December 31, 2024</u>
<u>LIABILITIES AND EQUITY</u>			
CURRENT LIABILITIES			
Interest-bearing loans	14	29,531,250	-
Trade and other payables	15	548,338,893	658,126,297
Customers' deposits		10,802,640	1,272,982
Lease liabilities	10	890,546	3,405,363
Income tax payable		<u>12,082,842</u>	<u>17,547,524</u>
Total Current Liabilities		<u>601,646,171</u>	<u>680,352,166</u>
NON-CURRENT LIABILITIES			
Interest-bearing loans	14	845,468,750	875,000,000
Refundable deposits	16	21,645,519	21,645,519
Lease liabilities	10	502,510	502,510
Post-employment benefit obligation	21	29,785,339	29,785,339
Deferred tax liabilities - net	22	<u>1,171,198,873</u>	<u>1,126,961,282</u>
Total Non-current Liabilities		<u>2,068,600,991</u>	<u>2,053,894,650</u>
Total Liabilities		<u>2,670,247,162</u>	<u>2,734,246,816</u>
EQUITY			
Equity attributable to the Parent Company's stockholders			
Capital stock	23	2,030,975,000	2,030,975,000
Additional paid-in capital		4,641,701,922	4,641,701,922
Treasury shares - at cost	23	(115,614,380)	(115,614,380)
Revaluation reserves	23	187,192,186	182,941,686
Retained earnings	23	<u>6,005,871,804</u>	<u>5,731,763,093</u>
Total equity attributable to the Parent Company's stockholders		12,750,126,532	12,471,767,321
Non-controlling interests	23	<u>302,376,185</u>	<u>294,911,864</u>
Total Equity		<u>13,052,502,717</u>	<u>12,766,679,185</u>
TOTAL LIABILITIES AND EQUITY		<u>P 15,722,749,879</u>	<u>P 15,500,926,001</u>

See Notes to Consolidated Financial Statements.

SOLID GROUP INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF INCOME
FOR THE NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2025 AND 2024
(Amounts in Philippine Pesos)

	Notes	September 30, 2025		September 30, 2024	
		3rd Quarter	Year-to-Date	3rd Quarter	Year-to-Date
REVENUES					
Sale of goods	4, 25	P 369,888,364	P 1,035,226,255	P 334,828,849	P 978,508,709
Rendering of services	25, 26	277,910,726	739,479,607	207,055,557	581,658,274
Rentals	12, 25, 27	154,100,432	459,390,172	80,791,532	227,122,171
Interest	5, 6, 7, 25	21,905,585	65,770,154	21,314,711	61,056,347
Sale of real estate		-	-	-	8,125,000
		<u>823,805,107</u>	<u>2,299,866,188</u>	<u>643,990,649</u>	<u>1,856,470,501</u>
COSTS OF SALES, SERVICES, RENTALS AND REAL ESTATE SALES	17, 18				
Cost of sales		298,523,379	823,413,979	276,523,391	781,172,086
Cost of services		195,820,559	524,625,636	131,630,248	393,440,027
Cost of rentals		17,725,983	89,159,341	12,975,847	65,070,130
Cost of real estate sold		-	-	-	3,962,442
		<u>512,069,921</u>	<u>1,437,198,956</u>	<u>421,129,486</u>	<u>1,243,644,685</u>
GROSS PROFIT		<u>311,735,186</u>	<u>862,667,232</u>	<u>222,861,163</u>	<u>612,825,816</u>
OTHER OPERATING EXPENSES (INCOME)					
General and administrative expenses	18	100,787,290	317,283,836	108,675,110	319,571,367
Selling and distribution costs	18	54,478,918	138,966,985	40,242,097	116,046,235
Other operating expense (income) - net	19	(20,042,223)	(138,394,194)	(20,181,474)	(50,352,065)
		<u>135,223,985</u>	<u>317,856,627</u>	<u>128,735,733</u>	<u>385,265,537</u>
OPERATING PROFIT (LOSS)		<u>176,511,201</u>	<u>544,810,605</u>	<u>94,125,430</u>	<u>227,560,279</u>
OTHER INCOME (CHARGES)					
Finance costs	20	(16,619,097)	(45,427,849)	115,640	(2,586,648)
Finance income	5, 6, 20	30,067,355	78,708,757	32,051,632	110,960,092
Other gains (losses) - net	20	12,709,530	20,838,679	2,977,546	74,646,281
		<u>26,157,788</u>	<u>54,119,587</u>	<u>35,144,818</u>	<u>183,019,725</u>
PROFIT (LOSS) BEFORE TAX		<u>202,668,989</u>	<u>598,930,192</u>	<u>129,270,248</u>	<u>410,580,004</u>
TAX EXPENSE (INCOME)	22	<u>77,431,848</u>	<u>135,202,960</u>	<u>33,477,844</u>	<u>102,961,647</u>
NET PROFIT (LOSS)		<u>P 125,237,141</u>	<u>P 463,727,232</u>	<u>P 95,792,404</u>	<u>P 307,618,357</u>
Net Profit (Loss) attributable to the:					
Parent Company's stockholders	24	P 123,355,673	P 456,262,911	P 94,868,788	P 268,931,464
Non-controlling interests		<u>1,881,468</u>	<u>7,464,321</u>	<u>923,616</u>	<u>38,686,893</u>
		<u>P 125,237,141</u>	<u>P 463,727,232</u>	<u>P 95,792,404</u>	<u>P 307,618,357</u>
Earnings (Loss) per share attributable to the Parent Company's stockholders	24	<u>P 0.07</u>	<u>P 0.25</u>	<u>P 0.05</u>	<u>P 0.15</u>

See Notes to Consolidated Financial Statements.

SOLID GROUP INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
FOR THE NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2025 AND 2024
(Amounts in Philippine Pesos)

	Notes	September 30, 2025		September 30, 2024	
		3rd Quarter	Year-to-Date	3rd Quarter	Year-to-Date
NET PROFIT (LOSS)		P 125,237,141	P 463,727,232	P 95,792,404	P 307,618,357
OTHER COMPREHENSIVE INCOME (LOSS)					
Items that will be reclassified subsequently to profit or loss:					
Currency exchange differences on translating financial statements of foreign operations	23	21,604,014	4,250,500	(33,148,470)	7,276,137
		21,604,014	4,250,500	(33,148,470)	7,276,137
TOTAL COMPREHENSIVE INCOME		P 146,841,155	P 467,977,732	P 62,643,934	P 314,894,494
Total comprehensive income (loss) attributable to:					
Parent Company's stockholders		P 144,959,687	P 460,513,411	P 61,720,318	P 276,207,601
Non-controlling interests		1,881,468	7,464,321	923,616	38,686,893
		P 146,841,155	P 467,977,732	P 62,643,934	P 314,894,494

See Notes to Consolidated Financial Statements.

SOLID GROUP INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY
FOR THE NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2025 AND 2024
(Amounts in Philippine Pesos)

	<u>Notes</u>	<u>September 30, 2025</u>	<u>September 30, 2024</u>
EQUITY ATTRIBUTABLE TO THE PARENT COMPANY'S STOCKHOLDERS			
CAPITAL STOCK - P1 par value			
Authorized - 5,000,000,000 shares			
Issued - 2,030,975,000 shares			
Outstanding - 1,821,542,000 shares		P <u>2,030,975,000</u>	P <u>2,030,975,000</u>
ADDITIONAL PAID-IN CAPITAL		<u>4,641,701,922</u>	<u>4,641,701,922</u>
TREASURY SHARES - at cost			
Acquired at P0.5520 per share			
209,433,000 shares		(<u>115,614,380</u>)	(<u>115,614,380</u>)
REVALUATION RESERVES			
Balance at beginning of year			
As previously reported		182,941,686	128,781,811
Other comprehensive income (loss)		<u>4,250,500</u>	<u>7,276,137</u>
Balance at end of the period		<u>187,192,186</u>	<u>136,057,948</u>
RETAINED EARNINGS (DEFICIT)			
Balance at beginning of year			
As previously reported		5,731,763,093	5,362,557,945
Profit (loss) for the period attributable to			
Parent Company's stockholders		456,262,911	268,931,464
Dividends declared		(<u>182,154,200</u>)	(<u>182,154,200</u>)
Balance at end of the period		<u>6,005,871,804</u>	<u>5,449,335,209</u>
Total Equity Attributable to the Parent Company's stockholders		<u>12,750,126,532</u>	<u>12,142,455,699</u>
NON-CONTROLLING INTERESTS			
Balance at beginning of year		294,911,864	305,032,067
Profit (loss) for the period attributable to			
Non-controlling interests		<u>7,464,321</u>	<u>38,686,893</u>
Balance at end of the period		<u>302,376,185</u>	<u>343,718,960</u>
TOTAL EQUITY		P <u>13,052,502,717</u>	P <u>12,486,174,659</u>

See Notes to Consolidated Financial Statements.

SOLID GROUP INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS
FOR THE NINE MONTHS PERIOD ENDED SEPTEMBER 30, 2025 AND 2024
(Amounts in Philippine Pesos)

	<u>Notes</u>	<u>September 30, 2025</u>	<u>September 30, 2024</u>
CASH FLOWS FROM OPERATING ACTIVITIES			
Profit (loss) before tax		598,930,192	410,580,004
Adjustments for:			
Interest income	(	130,240,534)	(142,730,116)
Depreciation and amortization		65,957,827	60,085,723
Impairment losses (reversal) on trade and other receivables	(	4,610,796)	(1,565,809)
Interest expense		41,505,661	384,873
Loss (reversal) on inventory obsolescence	(	206,761)	7,839,814
Unrealized foreign currency losses (gains) - net		12,640	838
Loss (gain) on sale of investment properties		-	6,338,666
Loss (gain) on sale of property and equipment	(	2,421,520)	(1,425,658)
Operating profit before working capital changes		568,926,709	339,508,335
Decrease (increase) in trade and other receivables	(	123,452,103)	595,585,235
Decrease (increase) in merchandise inventories and supplies		69,873,084	(213,348,539)
Decrease (increase) in real estate inventories		-	3,962,442
Decrease (increase) in advances to related parties		238,058	-
Decrease (increase) in other current assets	(	6,021,038)	(67,582,607)
Decrease (increase) in other non-current assets	(	167,248)	(10,215,850)
Increase (decrease) in trade and other payables	(	109,787,401)	(81,032,839)
Increase (decrease) in customers' deposits		9,529,658	(3,000,000)
Increase (decrease) in refundable deposits		-	140,069
Cash generated from (used in) operations		409,139,719	564,016,246
Interest received		56,231,065	54,622,887
Cash paid for income taxes	(	45,719,618)	(42,212,899)
Net Cash From (Used in) Operating Activities		419,651,166	576,426,234
CASH FLOWS FROM INVESTING ACTIVITIES			
Acquisition of property and equipment	(	67,310,657)	(64,726,418)
Proceeds from disposal of property and equipment		5,254,635	3,805,161
Additional short-term placements	(	1,011,294,734)	(320,049,067)
Maturity of short-term placements		443,236,954	111,241,588
Interest received		51,576,304	65,339,015
Proceeds from disposal of investment properties		-	156,148,348
Acquisition of investment properties	(	138,287,655)	(687,559,874)
Net Cash From (Used in) Investing Activities	(	716,825,153)	(735,801,247)
CASH FLOWS FROM FINANCING ACTIVITIES			
Proceeds from interest-bearing loans - net		-	395,000,000
Dividends paid	(	182,154,200)	(182,154,200)
Payment of lease liabilities and related interest expense	(	2,641,746)	(601,795)
Interest paid on loans	(	41,378,732)	(337,835)
Net Cash From (Used in) Financing Activities	(	226,174,678)	211,906,170
Effects of Foreign Exchange Rate Changes on Cash and Cash Equivalents	(	12,640)	(838)
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	(	523,361,305)	52,530,319
CASH AND CASH EQUIVALENTS AT BEGINNING OF YEAR		3,077,901,933	2,710,806,862
CASH AND CASH EQUIVALENTS AT END OF THE PERIOD	P	2,554,540,628	P 2,763,337,181

See Notes to Consolidated Financial Statements.

SOLID GROUP INC. AND SUBSIDIARIES
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
SEPTEMBER 30, 2025, AND DECEMBER 31, 2024
(Amounts in Philippine Pesos)

1. GENERAL INFORMATION

1.1 Group Background

Solid Group Inc. (SGI or the Parent Company) was incorporated and registered with the Philippine Securities and Exchange Commission (“the Commission”) on October 16, 1933. SGI currently conducts business as an investment holding company. On September 4, 1996, SGI listed its shares of stock in the Philippine Stock Exchange (PSE).

The Parent Company holds effective ownership interests in the following subsidiaries (the Parent Company and the subsidiaries are collectively referred to herein as “the Group”) and an associate:

Subsidiaries / Associate	Percentage of Ownership		Notes	Nature of Business
	2025	2024		
Subsidiaries:				
Avid Sales Corporation (Avid)	100	100		Distribution, wholesale and retail of home appliances and electronic products
Brilliant Reach Limited (BRL)	100	100	a	Investment holding company
Casa Bocobo Hotel, Inc. (CBHI)	100	100	b	Hotel operation
Green Sun Hotel Management Inc. (GSHMI)	100	100		Hotel and restaurant operation
Kita Corporation (Kita)	100	100		Leasing of real estate properties
My Solid Technologies & Devices Corporation (My Solid)	100	100		Sale of mobile phones and accessories
MyApp Corporation (MyApp)	100	100	c	Investment holding company
Omni Solid Services, Inc. (OSSSI)	100	100		Logistics and assembly of consumer electronics products
Precos, Inc. (Precos)	100	100		Real estate
Solid Broadband Corporation (SBC)	100	100		Broadband, cable and satellite services
SolidService Electronics Corporation (SEC)	100	100		Repair services for audio and video products
Solid Group Technologies Corporation (SGTC)	100	100		Trading of prefabricated modular house and office units
Solid Manila Corporation (SMC)	100	100		Real estate
Solid Manila Finance, Inc. (SMFI)	100	100		Financing
Solid Video Corporation (SVC)	100	100		Trading of professional audio/video equipment
Zen Towers Corporation (ZTC)	100	100		Real estate
SVC Hong Kong Limited (SVC HK)	100	100	f	Trading of professional audio/video equipment
Skyworld Corporation (Skyworld)	75	75	b, d	Investment holding company
Starworld Corporation (Starworld)	50	50	b, d, e	Real estate
Associate –				
Fekon Solid Motorcycle Mfg. Corp. (Fekon)	44	44	7.3	Sale of motorcycle, motor parts and products

Notes:

- (a) *Incorporated and domiciled in the British Virgin Islands*
- (b) *Indirectly owned through SMC*
- (c) *Incorporated on October 23, 2014; has not yet started commercial operations as of September 30, 2025*
- (d) *Pre-operating or non-operating*
- (e) *Starworld is 20% owned by SMC and 40% owned by Skyworld*
- (f) *Indirectly owned through SVC*

Additional information:

- (i) In 2022, Precos entered into a Built-to-Specification Agreement with a third party for the lease of a warehouse. The lease agreement has a term of fifteen (15) years, commencing upon completion of construction, with an option to renew for an additional five (5) years. Construction of the warehouse was completed in 2024, and the formal lease contract commenced on August 1, 2024.
- (ii) In 2023, SMC sold its shares of stock in Interstar Holdings Company, Inc. (Interstar) and Laguna International Industrial Park, Inc. (LIIP). Details of deconsolidation are presented in Note 23.5.
- (iii) SBC holds a provisional authority, granted by the National Telecommunications Commission, to use its legislative franchise under Republic Act (R.A.) No. 9116, *An Act Granting Solid Broadband Corporation a Franchise to Construct, Install, Establish, Operate and Maintain Telecommunications Systems throughout the Philippines* (see Note 26.3).
- (iv) SMFI is subject to the rules and regulations provided under R.A. No. 8556, *The Financing Group Act of 1998* (see Note 31).

1.2 Other Corporate Information

The registered office addresses and principal places of business of the Parent Company and its subsidiaries, except those listed below, are located at 2285 Don Chino Roces Avenue, Makati City. The registered office addresses and principal places of business of the other subsidiaries are as follows:

Avid, SMC and CBHI	- 1000 J. Bocobo cor. T.M. Kalaw Street, Ermita, Manila
BRL	- 2 nd Floor, Abbott Building, P.O. Box 933, Road Town, Tortola, British Virgin Islands
Kita	- N7175 Gil Puyat Ave. cor. Feati St., Clark Freeport Zone, Clarkfield, Pampanga
OSSI	- Solid St., LIIP, Mamlasan, Biñan, Laguna
SEC	- 145 G. Araneta Avenue, Brgy. Tatalon, Quezon City
Starworld	- CPIP Brgys. Batino & Prinza, Calamba, Laguna
SVC HK	- RM A301, 3/F Blk. A Sea View Est 2-8 Watson Rd, Causeway Bay, Hong Kong
ZTC	- 1111 Natividad A. Lopez St., Brgy. 659-A, District 5, Ermita, Manila

1.3 Approval for Issuance of Audited Consolidated Financial Statements

The consolidated financial statements of the Group as of and for the year ended December 31, 2024 (including the comparative consolidated financial statements as of December 31, 2023 and for the years ended December 31, 2023 and 2022) were authorized for issue by the Parent Company's Board of Directors (BOD) on April 8, 2025.

2. MATERIAL ACCOUNTING POLICY INFORMATION

The material accounting policy information that has been used in the preparation of these consolidated financial statements is summarized below and on the succeeding pages. These policies have been consistently applied to all the years presented, unless otherwise stated.

2.1 *Basis of Preparation of Consolidated Financial Statements*

(a) *Statement of Compliance with Philippine Financial Reporting Standards*

The consolidated financial statements of the Group as of and for the year ended September 30, 2025 were prepared in accordance with Philippine Financial Reporting Standards (PFRS Accounting Standards). PFRS Accounting Standards are adopted by the Financial and Sustainability Reporting Standards Council (FSRSC) from the pronouncements issued by the International Accounting Standards Board (IASB) and approved by the Philippine Board of Accountancy (BOA).

The consolidated financial statements have been prepared using the measurement bases specified by the relevant accounting frameworks for each type of asset, liability, income and expense. The measurement bases are more fully described in the accounting policies that follow.

(b) *SEC Financial Reporting Reliefs Availed by the Group*

In 2023 and prior years, the Group has availed of several financial reporting reliefs granted by the SEC relating to the number of implementation issues of PFRS 15, *Revenue From Contracts with Customers*, and the related financial reporting interpretations affecting the real estate industry. In 2024, the Group adopted the previously deferred provisions of PFRS 15, *Revenue From Contracts with Customers* and the related issuances of the Philippine Interpretations Committee, and IFRIC Agenda Decision on *Over Time Transfer of Constructed Goods (PAS 23)* using full retrospective approach as allowed by SEC MC No. 08-2021, *Amendment to SEC MC No. 14-2018, MC No. 03-2019, MC No. 04-2020, and MC No. 34-2020 to clarify transitory provision*.

The adoption of these standards and interpretations did not result to any adjustments to the amounts recognized in the consolidated financial statements. Consequently, no restatements were made to the comparative figures presented in the consolidated financial statements.

Discussed below are the relevant information about these standards and interpretations, and the resulting impact of the relevant consolidated financial statements accounts.

(i) IFRIC Agenda Decision on Over Time Transfer of Constructed Goods (PAS 23) for Real Estate Industry

The IFRIC concluded that any inventory (work-in-progress) for unsold units under construction that the entity recognizes is not a qualifying asset, as the asset is ready for its intended sale in its current condition (i.e., the developer intends to sell the partially constructed units as soon

as it finds suitable customers and, in signing a contract with a customer, will transfer control of any work-in-progress relating to that unit to the customer). Accordingly, no borrowing costs can be capitalized on such unsold real estate inventories.

The adoption of this interpretation has no significant effect on the consolidated financial statements of the Group as there were no capitalized borrowing costs on real estate inventories.

- (ii) PIC Q&A No. 2018-12-D, *Concept of the Significant Financing Component in the Contract to Sell* and PIC Q&A No. 2020-04, *Addendum to PIC Q&A 2018-12-D: Significant Financing Component Arising from Mismatch between the Percentage of Completion and Schedule of Payments*

PFRS 15 requires that in determining the transaction price, an entity shall adjust the promised amount of consideration for the effects of the time value of money if the timing of payments agreed to by the parties to the contract (either explicitly or implicitly) provides the customer or the entity with a significant benefit of financing the transfer of goods or services to the customer. In those circumstances, the contract contains a significant financing component.

There is no significant financing component if the difference between the promised consideration and the cash selling price of the good or service arises for reasons other than the provision of finance to either the customer or the entity, and the difference between those amounts is proportional to the reason for the difference. Further, the Group does not need to adjust the promised amount of consideration for the effects of a significant financing component if the entity expects, at contract inception that the timing difference of the receipt of full payment of the contract price and that of the completion of the project, are expected within one year and significant financing component is not expected to be significant.

The adoption of this interpretation has no significant effect on the consolidated financial statements as the development of the Group's real estate inventories were completed prior to sale.

- (c) *Presentation of Consolidated Financial Statements*

The consolidated financial statements are presented in accordance with Philippine Accounting Standard (PAS) 1, *Presentation of Financial Statements*. The Group presents a consolidated statement of comprehensive income separately from the consolidated statement of income.

The Group presents a third consolidated statement of financial position as at the beginning of the preceding period when it applies an accounting policy retrospectively or makes a retrospective restatement or reclassification of items that has a material effect on the information in the consolidated statement of financial position at the beginning of the preceding period. The related notes to the third consolidated statement of financial position are not required to be disclosed.

(d) *Functional and Presentation Currency*

These consolidated financial statements are presented in Philippine pesos, the Group's functional and presentation currency, and all values represent absolute amounts except when otherwise indicated.

Items included in the consolidated financial statements of the Group are measured using its functional currency. Functional currency is the currency of the primary economic environment in which the Group operates.

2.2 Adoption of Amended PFRS Accounting Standards

(a) *Effective in 2025 that are Relevant to the Group*

The Group adopted for the first time the following amendments to PFRS Accounting Standards, which are mandatorily effective for annual periods beginning on or after January 1, 2025:

- (i) PAS 21 (Amendments), *The Effects of Changes in Foreign Exchange Rates – Lack of Exchangeability* (effective from January 1, 2025)

(b) *Effective Subsequent to 2025 but not Adopted Early*

There are amendments to existing standards effective for annual periods subsequent to 2025, which are adopted by the FSRSC. Management will adopt the following relevant pronouncements in accordance with their transitional provisions; and unless otherwise indicated, none of these are expected to have significant impact on the Group's consolidated financial statements:

- (i) PFRS 9 and PFRS 7 (Amendments), *Financial Instruments, and Financial Instruments: Disclosures – Amendments to the Classification and Measurement of Financial Instruments* (effective from January 1, 2026)
- (ii) PFRS 18, *Presentation and Disclosure in Financial Statements* (effective from January 1, 2027). The new standard impacts the classification of profit or loss items (i.e., into operating, investing and financing categories) and the presentation of subtotals in the statement of profit or loss (i.e., operating profit and profit before financing and income taxes). The new standard also changes the aggregation and disaggregation of information presented in the primary financial statements and in the notes. It also introduces required disclosures about management-defined performance measures. The new standard, however, do not affect how the Group recognizes and measures its financial condition, financial performance and cash flows.
- (iii) PFRS 19, *Subsidiaries Without Public Accountability: Disclosures* (effective from January 1, 2027). The new standard reduces the disclosure requirements prescribed by other standards for subsidiaries without public accountability. It changes disclosure requirements prescribed by other standards as the reporting entity will instead refer to PFRS 19 for required disclosures.
- (iv) PFRS 10 and PAS 28 (Amendments), *Consolidated Financial Statements and Investments in Associates and Joint Ventures – Sale or Contribution of Assets between*

an Investor and its Associate or Joint Venture (effective date deferred indefinitely).

2.3 Basis of Consolidation

The Group's consolidated financial statements comprise the accounts of the Parent Company and its subsidiaries as enumerated in Note 1.1, after the elimination of intercompany transactions.

Financial statements of entities in the Group that are prepared as of a date different from that of the date of these consolidated financial statements were adjusted to recognize the effects of significant transactions or events that occur between that date of their reporting period and the date of these consolidated financial statements. Adjustments are also made to bring into line any dissimilar accounting policies that may exist.

Subsidiaries are consolidated from the date the Group obtains control. The Parent Company reassesses whether or not it controls an entity if facts and circumstances indicate that there are changes to one or more of the elements of controls. Accordingly, entities are deconsolidated from the date that control ceases (see Note 1.1).

The acquisition method is applied to account for acquired subsidiaries. On an acquisition-by-acquisition basis, the excess of the consideration transferred, the amount of any non-controlling interest (NCI) in the acquiree and the acquisition-date fair value of any existing equity interest in the acquiree over the acquisition-date fair value of identifiable net assets acquired is recognized as goodwill.

Acquired investment in an associate is subject to the purchase method.

The Group's transactions with NCI that do not result in loss of control are accounted for as equity transactions – that is, as transactions with the owners of the Group in their capacity as owners.

2.4 Financial Instruments

Financial assets and financial liabilities are recognized when the entity becomes a party to the contractual provisions of the instrument. Regular purchases and sales of financial assets are recognized on their settlement date (i.e., the date that the Group commits to purchase or sell the asset).

(a) Financial Assets

(i) Classification, Measurement and Reclassification of Financial Assets

The Group's financial assets include financial assets at amortized cost and at fair value through other comprehensive income (FVOCI).

Financial Assets at Amortized Cost

The Group's financial assets at amortized cost are presented in the consolidated statement of financial position as Cash and Cash Equivalents, Short-term Placements, Trade and Other Receivables (except advances to suppliers and employees), Advances to Related Parties, Investment in

Bonds, Refundable deposits (presented as part of Other Current Assets), Refundable deposits, Deposit to supplier (presented as part of Other Current Assets) and Cash bond (presented as part of Other Non-current Assets).

Financial Assets at FVOCI

At initial recognition, the Group can make an irrevocable election (on an instrument-by-instrument basis) to designate equity investments as at FVOCI; however, such designation is not permitted if the equity investment is held by the Group for trading or as mandatorily required to be classified as fair value through profit or loss (FVTPL). The Group has irrevocably designated equity instruments as at FVOCI on initial recognition.

The Group can only reclassify financial assets if the objective of its business model for managing those financial assets changes.

A change in the objective of the Group's business model will take effect only at the beginning of the next reporting period following the change in the business model.

(ii) *Impairment of Financial Assets*

At the end of the reporting period, the Group assesses and recognizes its expected credit loss (ECL) on a forward-looking basis associated with its financial assets carried at amortized cost. The measurement of ECL involves consideration of broader range of information that is available without undue cost or effort at the reporting date about past events, current conditions, and reasonable and supportable forecasts of future economic conditions (i.e., forward-looking information) that may affect the collectability of the future cash flows of the financial assets. Measurement of the ECL is determined by a probability-weighted estimate of credit losses over the expected life of the financial instruments evaluated based on a range of possible outcomes.

The Group applies the simplified approach in measuring ECL, which uses a lifetime expected loss allowance for all trade and other receivables, except for loans receivables with significant financing component, and advances to related parties. These are the expected shortfalls in contractual cash flows, considering the potential for default at any point during the life of the financial assets.

To calculate the ECL using a provision matrix, the Group uses its historical experience, external indicators and forward-looking information.

The Group also assesses impairment of trade receivables on a collective basis as they possess shared credit risk characteristics and have been grouped based on the days past due.

For loans receivables, which is presented under Trade and Other Receivables account in the consolidated statement of financial position, the Group recognizes lifetime ECL when there has been a significant increase in credit risk on a financial asset since initial recognition. Lifetime ECL represents the expected credit loss that will result from all possible default

events over the expected life of a financial asset, irrespective of the timing of the default. However, if the credit risk on a financial asset has not increased significantly since initial recognition, the Group measures and provides for credit losses that are expected to result from default events that are possible within 12-months after the end of the reporting period.

For debt instruments (i.e., investment in bonds) measured at amortized cost, the allowance for credit losses is based on the ECL associated with the probability of default of a financial instrument in the next 12 months, unless there has been a significant increase in credit risk since the origination of the financial asset, in such case, a lifetime ECL for a purchased or originated credit impaired, the allowance for credit losses is based on the change in the ECL over the life of the asset. The Group recognized a loss allowance for such losses at each reporting date.

The Group determines whether there has been a significant increase in credit risk for financial asset since initial recognition by comparing the risk of default occurring over the expected life of the financial asset between the reporting date and the date of the initial recognition. In making this assessment, the Group considers both quantitative and qualitative information that may indicate an actual or expected deterioration of the credit quality of the financial assets.

(b) Financial Liabilities

Financial liabilities include Trade and Other Payables (excluding tax-related liabilities, contract liability, advances from customers and reserve for warranty costs), Lease Liabilities, Advances from Related Parties, Interest-bearing Loans and Refundable Deposits.

2.5 Merchandise Inventories and Supplies

Inventories are valued at the lower of cost and net realizable value (NRV). The cost is determined using the moving average method.

2.6 Real Estate Inventories

Real estate inventories consist of land and land development costs and property development costs.

Subsequent to initial recognition, land and land development costs and property development costs are stated at the lower of cost and net realizable value. An item of land and land development cost is derecognized upon disposal or when no future economic benefits are expected to arise from the sale of asset.

2.7 Property and Equipment

Property and equipment, except land, are carried at acquisition cost or construction cost less subsequent depreciation, amortization and any impairment losses. Land held for use in production or administration is stated at cost less any impairment losses. Construction in progress pertains to the accumulated costs of putting up the assets, additions or improvements including the applicable borrowing cost.

Depreciation is computed on the straight-line basis over the estimated useful lives of the assets as follows:

Buildings and improvements	10 to 25 years
Test, communication and other equipment	5 to 20 years
Machinery and equipment	5 to 10 years
Transportation equipment	5 years
Computer system	2 to 5 years
Furniture, fixtures and office equipment	2 to 5 years
Tools and equipment	2 to 3 years

Leasehold improvements are amortized over the estimated useful lives of the assets from two to 15 years or the terms of the relevant leases, whichever is shorter.

2.8 Intangible Assets

Intangible assets include non-proprietary club shares and computer software licenses, which are accounted for under the cost model.

The Group's non-proprietary club shares are assessed as having indefinite useful life.

Acquired computer software licenses are capitalized on the basis of the costs incurred to acquire and install the specific software. Capitalized costs are amortized on a straight-line basis over the estimated useful lives (ranging from three to ten years) as the lives of these intangible assets are considered finite. Costs associated with maintaining computer software and those costs associated with research activities are recognized as expense in profit or loss as incurred. Development costs not meeting these criteria for capitalization are expensed as incurred.

Intangible assets are subject to impairment testing when indications exist, as described in Note 2.13.

2.9 Investment Properties

Investment properties are accounted for under the fair value model. It is revalued annually and is included in the consolidated statement of financial position at its fair value. Fair value is supported by market evidence and is determined by independent appraisers with sufficient experience with respect to both the location and the nature of the investment property.

Investment properties, which consists mainly of land and improvements, and buildings and improvements under operating lease agreements, are initially measured at acquisition cost, including transaction costs.

Construction in progress pertains to the accumulated costs of putting up the assets, additions or improvements including the applicable borrowing cost.

Transfers from other accounts (such as Land and Land Development Costs and Property and Equipment) are made to investment properties when and only when, there is a change in use, evidenced by ending of owner-occupation or commencement of an operating lease to another party. Transfers from investment properties are made when, and only when, there is a change in use, evidenced by commencement of the owner-occupation or commencement of development with a view to sell.

For tax purposes, investment properties are carried at cost less accumulated depreciation computed on a straight-line basis over the estimated net useful lives of the assets ranging from 11 to 25 years.

2.10 Business Combinations

Business acquisitions are accounted for using the acquisition method of accounting.

Subsequent to initial recognition, goodwill is measured at cost less any accumulated impairment losses. Negative goodwill is charged directly to profit or loss. Goodwill is tested annually for impairment and carried at cost less accumulated impairment losses.

If the business combination is achieved in stages, the acquirer is required to remeasure its previously held equity interest in the acquiree at its acquisition-date fair value and recognize the resulting gain or loss, if any, in the profit or loss or other comprehensive income, as appropriate.

2.11 Revenue and Expense Recognition

Revenue comprises revenue from sale of goods and real estate and the rendering of services measured by reference to the fair value of consideration received or receivable by the Group for the goods sold and services rendered, excluding value-added tax (VAT) and trade discounts.

The Group often enters into transactions involving the sale of goods and real estate and rendering of services. The transaction price allocated to performance obligations satisfied at a point in time is recognized as revenue when control of the goods or services transfers to the customer. If the performance obligation is satisfied over time, the transaction price allocated to that performance obligation is recognized as revenue as the performance obligation is satisfied. The Group uses the practical expedient in PFRS 15 with respect to non-disclosure of the aggregate amount of the transaction price allocated to unsatisfied or partially satisfied performance obligations as of the end of the reporting period and the explanation of when such amount will be recognized as revenue as the Group's contracts with customers have original expected duration of one year or less, except for real estate sales.

In addition, the following specific recognition criteria must also be met before revenue is recognized. Significant judgments in determining the timing of satisfaction of the following performance obligations are disclosed in Note 3.1(b):

- (a) *Rendering of services (other than commission income)* – Revenue, which primarily arise from service fees, room and events services, assembly and test lab services, warehousing and repair services, is recognized by the amount in which the Group has a right to invoice that corresponds directly with the value of services rendered that is completed over a period of time.
- (b) *Sale of goods* – Revenue, which primarily includes the sale of handsets, devices, accessories, equipment, appliances and modular houses, is recognized at a point in time. This is generally when the customer has taken an undisputed delivery of goods.
- (c) *Warranty and network support fee (shown as part of Rendering of Services)* – Revenue from warranty and network support fee is recognized over time upon actual rendering

of in-warranty and out-of-warranty services to the customers. Revenue from network support, which is a fixed amount per month as indicated in the contract, is accrued at the end of each month.

(d) *Sale of real estate*

- (i) *Sale of real estate on pre-completed real estate properties* – Revenue from real estate sales is recognized over time proportionate to the progress of the development. The Group measures its progress based on actual costs incurred relative to the total expected costs to be incurred in completing the development.
- (ii) *Sale of real estate on completed real estate properties* – Revenue from real estate sales is recognized at a point in time when the control over the real estate property is transferred to the buyer.

Payments received from buyers which do not meet the revenue recognition criteria are presented as Customers' Deposits in the consolidated statement of financial position.

- (e) *Commission income (shown as part of Rendering of Services)* – Commission income is recognized over time when the performance of contractually agreed tasks have been substantially rendered.
- (f) *Service charges and penalties* – Revenue from service charges and penalties is generally recognized over time when the service has been provided and when there is reasonable degree of certainty as to their collectability.
- (g) *Other revenues from utilities charged and common use service area (CUSA)* – Other revenues arising from utilities and CUSA charges related to leasing activities are recognized over time as the Group performs the contractually agreed task. Customers are invoiced monthly as work progresses, which are also due upon receipt by the customers.

The Group assesses its revenue agreement against the specific criteria in order to determine if it is acting as a principal or an agent [see Note 3.1(h)]. Billings from the common area, air conditioning, utilities and other dues are presented at net amounts since the Group acts as a principal. Other revenues from electricity and water dues, in which the Group acts as an agent, are presented in excess of actual charges and consumption.

Further, the Group provides a product warranty for a period of 15 months from the time of sale on its sales of goods related to hidden and manufacturer's defect. Under the terms of this warranty, customers can return the product for repair or replacement if it fails to perform in accordance with published specifications. These warranties are accounted for under PAS 37, *Provisions, Contingent Liabilities, and Contingent Assets*. However, if the Group is required to refund the related purchase price for returned goods, it recognizes a refund liability for the expected refunds by adjusting the amount of revenues recognized during the period.

In obtaining customer contracts, the Group incurs incremental costs. As the expected amortization period of these costs, if capitalized, would be less than one year, the Group uses the practical expedient in PFRS 15 and expenses such costs as incurred.

The Group also incurs costs in fulfilling contracts with customers. However, as those costs are within the scope of other financial reporting standards, the Group accounts for those costs in accordance with accounting policies related to those financial reporting standards.

Costs and expenses are recognized in profit or loss upon utilization of goods or services or at the date they are incurred. Expenditure for warranties is recognized and charged against the associated provision when the related revenue is recognized. All finance costs are reported in the consolidated statement of income on an accrual basis, except capitalized borrowing costs, if applicable, which are included as part of the cost of the related qualifying asset.

2.12 Leases

The Group accounts for its leases as follows:

(a) Group as a Lessee

Subsequent to initial recognition, the Group depreciates the right-of-use asset on a straight-line basis from the lease commencement date to the earlier of the end of the useful life of the right-of-use asset or the end of the lease term. Further, the lease liability will be reduced for payments made and increased for interest. The lease liability is remeasured to reflect any reassessment or modification, or if there are changes in substance fixed payments.

The Group has elected to account for short-term leases and leases of low-value assets using the practical expedients. Instead of recognizing a right-of-use asset and lease liability, the payments in relation to these are recognized as an expense in profit or loss on a straight-line basis over the lease term.

(b) Group as a Lessor

Leases which do not transfer to the lessee substantially all the risks and rewards of ownership of the asset are classified as operating leases. Lease income from operating leases is recognized in the consolidated statement of income on a straight-line basis over the lease term.

2.13 Impairment of Non-financial Assets

The Group's property and equipment, investment in an associate, intangible assets (presented under non-current assets), right-of-use assets and other non-financial assets are subject to impairment testing. Intangible assets with an indefinite useful life or those not yet available for use are tested for impairment at least annually. All other individual assets are tested for impairment whenever events or changes in circumstances indicate that the carrying amount of those assets may not be recoverable.

All assets are subsequently reassessed for indications that an impairment loss previously recognized may no longer exist. Except for impairment losses on goodwill, an impairment loss is reversed if the asset or cash-generating unit's recoverable amount exceeds its carrying amount.

2.14 Employee Benefits

The Group provides post-employment benefits to employees through a defined benefit plan and defined contribution plans, and other employee benefits.

The Group's defined benefit post-employment plan covers all regular full-time employees. The pension plan is tax-qualified, non-contributory, and administered by an investment manager. The defined benefit obligation is calculated annually by an independent actuary using the projected unit credit method.

A defined contribution plan is a post-employment plan under which the Group pays fixed contributions into an independent entity. The Group has no legal or constructive obligation to pay further contributions after payment of the fixed contribution.

Termination benefits are payable when employment is terminated by the Group for authorized cause before the normal retirement date, or whenever an employee accepts voluntary redundancy in exchange for these benefits.

Compensated absences are recognized for the number of paid leave days (including holiday entitlement) remaining at the end of the reporting period. They are included in the Trade and Other Payables in the consolidated statement of financial position at the undiscounted amount that the Group expects to pay as a result of the unused entitlement.

Short-term employee benefits are monetary and non-monetary benefits provided to current employees, which are expected to be settled 12 months after the end of the reporting period during which the employee services are rendered.

3. SIGNIFICANT ACCOUNTING JUDGMENTS AND ESTIMATES

The preparation of the Group's consolidated financial statements in accordance with PFRS Accounting Standards requires management to make judgments and estimates that affect amounts reported in the consolidated financial statements and related notes. Judgments and estimates are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. Actual results may ultimately differ from these estimates.

3.1 Critical Management Judgments in Applying Accounting Policies

In the process of applying the Group's accounting policies, management has made the following judgments, apart from those involving estimation, which have the most significant effect on the amounts recognized in the consolidated financial statements:

(a) Determination of Lease Term of Contracts with Renewal and Termination Options

In determining the lease term, management considers all relevant factors and circumstances that create an economic incentive to exercise a renewal option or not exercise a termination option.

Renewal options and/or periods after termination options are only included in the lease term if the lease is reasonably certain to be extended or not terminated and the renewal of the contract is not subject to mutual agreement of both parties.

For leases of payment centers, the factors that are normally the most relevant are (a) if there are significant penalties should the Group pre-terminate the contract, and (b) if any leasehold improvements are expected to have a significant remaining value, the Group is reasonably certain to extend and not to terminate the lease contract. Otherwise, the Group considers other factors including historical lease durations and the costs and business disruption required to replace the leased asset.

The Group included the renewal period as part of the lease term for leases of some of its payment centers due to the significance of these assets to its operations. These leases have a short, non-cancellable lease period (i.e., one to five years) and there will be a significant negative effect on operations if a replacement is not readily available. However, there are other payment centers wherein the provision in the contract requires mutual agreement of both parties on the terms and agreements of the renewal and termination of the lease contract; hence, renewal options for these leases were not included as part of the lease term.

The lease term is reassessed if an option is actually exercised or not exercised or the Group becomes obliged to exercise or not exercise it. The assessment of reasonable certainty is only revised if a significant event or a significant change in circumstances occurs, which affects this assessment, and that is within the control of the Group.

(b) Determination of Timing of Satisfaction of Performance Obligations

(i) Rendering of Services

The Group determines that its revenue from rendering of services shall be recognized over time. In making its judgment, the Group considers the timing of receipt and consumption of benefits provided by the Group to the customers. The Group provides the services without the need of reperformance of other companies. This demonstrates that the customers simultaneously receive and consume the benefits of the Group's rendering of the services as it performs.

In determining the best method of measuring the progress of the Group's rendering of services, management considers the output method under PFRS 15 because it directly measures the value of the services transferred to the customer.

(ii) Sale of Goods

The Group determines that its revenue from sale of goods shall be recognized at a point in time when the control of the goods has passed to the customer (i.e., generally when the customer has acknowledged delivery of the goods).

(iii) *Sale of Real Estate*

The Group exercises critical judgment in determining whether the performance obligation to deliver and transfer the control over the real estate properties (i.e., land and condominium building) to customers is satisfied over time or at a point in time.

In making this judgment, the Group considers the delivery to and acceptance by the buyer of the property as a transfer of control at specific point in time since the Group does not have a significant continuing involvement with the property sold to the buyer and the earning process is virtually complete. Further, the Group's enforceable right for payment becomes due upon transfer of control over the real estate property. The Group's management determines that its revenue from the sale of real estate inventories, which are completed and ready for use, shall be recognized at a point in time when the control has transferred to the customer (see Note 2.11).

(c) *Determination of ECL on Trade and Other Receivables, Investment in Bonds and Advances to Related Parties*

The Group uses a provision matrix to calculate ECL for trade and other receivables. The provision matrix is based on the Group's historical observed default rates. The Group's management intends to regularly calibrate (i.e., on an annual basis) the matrix to consider the historical credit loss experience with forward-looking information (i.e., forecast economic conditions).

For loans receivables (presented under Trade and Other Receivables account), the allowance for impairment is based on the ECL associated with the probability of default of a financial instrument in the next 12 months, unless there has been a significant increase in credit risk since origination of the financial instrument, in such case, a lifetime ECL for the instrument is recognized.

The Group also uses an external benchmarking approach to calculate ECL for investment in bonds. The provision rates are derived from published credit ratings by external rating agencies. As referenced to these external credit benchmarks, the Group defines the credit ratings based on certain financial ratios and appropriately determines the equivalent internal credit ratings. Referenced probability of default is then derived from the latest annual global corporate default study published by the external rating agency. The Group makes an annual reassessment of the applicability and reliability of the reference rates used.

The Group has established a policy to perform an assessment, at the end of each reporting period, whether a financial instrument's credit risk has increased significantly since initial recognition, by considering the change in the risk of default occurring over the remaining life of the financial instrument.

Other portion of the Group's financial asset at amortized cost pertains to advances to related parties. In relation to this, the maximum period over which ECL should be measured is the longest contractual period where an entity is exposed to credit risk. In the case of these advances to related parties, which are repayable on demand, the contractual period is the very short period needed to transfer the cash once demanded. Management determines possible impairment based on

the sufficiency of the related parties' highly liquid assets in order to repay the Group's receivables if demanded at the reporting date taking into consideration the historical defaults of the related parties. If the Group cannot immediately collect its receivables, management considers the expected manner of recovery to measure ECL. If the recovery strategies indicate that the outstanding balance of receivables can be collected, the ECL is limited to the effect of discounting the amount due over the period until cash is realized.

The details about the ECL on the Group's trade and other receivables, investment in bonds and advances to related parties are disclosed in Notes 6, 7.2, 25.4, 28.2(b), 28.2(c) and 28.2(e).

(d) Costing of Merchandise Inventories and Supplies

The Group's inventory costing policies and procedures were based on a careful evaluation of present circumstances and facts affecting production operations. A review of the benchmarks set by management necessary for the determination of inventory costs and allocation is performed regularly. Actual data are compared to the related benchmarks and critical judgment is exercised to assess the reasonableness of the costing policies and procedures which are currently in place and to make the necessary revisions in light of current conditions.

(e) Distinguishing Business Combination and Asset Acquisition

The Group determines whether the acquisition of an entity constitutes a business acquisition or an asset acquisition. The accounting treatment for the acquisition is determined by assessing whether the transaction involved a purchase of a business, as defined in PFRS 3, *Business Combinations*, taking into consideration the substance of the transaction. Failure to make the right judgment will result in misstatement of assets.

On initial recognition, the assets and liabilities of the acquired businesses and the consideration paid for them are included in the consolidated financial statements at their fair values. In measuring fair value, management uses estimates of future cash flows and discount rates. Any subsequent change in these estimates will affect the amount of goodwill if the change qualifies as a measurement period adjustment. Any other change would be recognized in profit or loss in the subsequent period.

Management has assessed that the acquisition of ownership in Avid is to be accounted for as a business combination since it does constitute an acquisition of a business.

(f) Distinction Between Investment Properties, Owner-occupied Properties and Real Estate Inventories

The Group determines whether a property qualifies as investment property. In making its judgment, the Group considers whether the property generates cash flows largely independent of the other assets held by an entity. Owner-occupied properties generate cash flows that are attributable not only to the properties but also to other assets used in the production or supply process. On the other hand, real estate inventories are properties intended to be sold in the normal course of business.

(g) *Distinction Between Operating and Finance Leases for Contracts where the Group is the Lessor*

The Group has entered into various lease agreements as either a lessor or lessee. Critical judgment was exercised by management to distinguish each lease agreement as either an operating or finance lease by looking at the transfer or retention of significant risk and rewards of ownership of the properties covered by the agreements. Failure to make the right judgment will result in either overstatement or understatement of assets and liabilities. Based on the management's judgment, all of the Group's lease agreements were determined to be operating leases.

(h) *Evaluating Principal Versus Agent Consideration*

The Group exercises judgment to determine whether the nature of its promise is a performance obligation to provide the specified goods or services itself (i.e., the Group is a principal) or to arrange for the other party to provide those goods or services (i.e., the Group is an agent). Failure to make the right judgment will result in misstatement of revenues and expenses accounts. The Group assessed that it is only acting as an agent for utility transactions of its tenants under operating leases. The amount of utility revenues which were amounted to P7.6 million and P4 million in 2025 and 2024, respectively, in the consolidated statements of income.

(i) *Recognition of Provisions and Contingencies*

Provisions are recognized when present obligations will probably lead to an outflow of economic resources, and they can be estimated reliably even if the timing or amount of the outflow may still be uncertain. Similarly, possible outflows of economic benefits to the Group that do not meet the recognition criteria of a liability are considered contingent liabilities, hence, are not recognized in the consolidated financial statements.

Judgment is exercised by management to distinguish between provisions and contingencies. Disclosures on relevant provisions and contingencies are presented in Note 27.

3.2 Key Sources of Estimation Uncertainty

Presented below and on the succeeding pages are the key assumptions concerning the future, and other key sources of estimation uncertainty at the end of the reporting period, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next reporting period:

(a) *Determination of Appropriate Discount Rate in Measuring Lease Liabilities*

The Group measures its lease liabilities at the present value of the lease payments that are not paid at the commencement date of the lease contract. The lease payments were discounted using a reasonable rate deemed by management equal to the Group's incremental borrowing rate.

In determining a reasonable discount rate, management considers the term of the leases, the underlying asset and the economic environment. Actual results, however, may vary due to changes in estimates brought about by changes in such factors.

(b) *Estimation of Allowance for ECL*

The measurement of the allowance for ECL on financial assets at amortized cost is an area that requires the use of significant assumptions about the future economic conditions and credit behavior (e.g., likelihood of customers defaulting and the resulting losses).

Specifically for loans receivables, the Group's ECL calculations are outputs of complex modes with a number of underlying assumptions which include: (1) the Group's criteria for assessing if there has been a significant increase in credit risk; and, (2) development of expected credit loss models, including the choice of inputs relating to macroeconomic variables.

Explanation of the inputs, assumptions and estimation used in measuring ECL is further detailed in Notes 6, 7.2, 25.4, 28.2(b), 28.2(c) and 28.2(e).

(c) *Fair Value Measurement for Financial Instruments*

Management applies valuation techniques to determine the fair value of financial instruments where active market quotes are not available. This requires management to develop estimates and assumptions based on market inputs, using observable data that market participants would use in pricing the instrument.

Where such data is not observable, management uses its best estimate. Estimated fair values of financial instruments may vary from the actual prices that would be achieved in an arm's length transaction at the end of the reporting period. The carrying values of the Group's financial assets at FVOCI and the amounts of fair value changes recognized on those assets are disclosed in Note 7.

(d) *Determination of Net Realizable Value of Merchandise Inventories and Supplies*

In determining the net realizable value of merchandise inventories and supplies, management takes into account the most reliable evidence available at the time the estimates are made.

The Group's core business is continuously subject to rapid technology changes which may cause inventory obsolescence. Moreover, future realization of the carrying amounts of inventories is affected by price changes in different market segments of electronic devices, modular houses, broadcast equipment and accessories (see Note 8). Both aspects are considered key sources of estimation uncertainty and may cause significant adjustments to the Group's merchandise inventories and supplies within the next reporting period.

(e) *Determination of Net Realizable Value of Real Estate Inventories*

The Group adjusts the cost of its real estate inventories to net realizable value based on its assessment of the recoverability of real estate inventories. The net realizable value for completed real estate inventories is assessed with reference to market conditions and prices existing at the reporting date and is determined by the Group in the light of recent market transactions.

Net realizable value in respect of real estate inventories under construction is assessed with reference to market prices at the reporting date for similar property

at the same stage of completion, less estimated costs to complete construction and less estimated costs to sell. The amount and timing of recorded expenses for any period would differ if different judgments were made or different estimates were utilized.

Management's assessment of net realizable value of properties under development requires the estimates of future cash flows to be derived from these properties. These estimates require judgment as to the anticipated sale prices by reference to recent sales transactions in nearby locations, rate of new property sales, marketing costs (including price discounts required to stimulate sales) and the expected costs to completion of properties, the legal and regulatory framework and general market conditions.

The carrying amounts of the real estate inventories are disclosed in Note 9.

(f) *Estimation of Useful Lives of Right-of-Use Assets, Property and Equipment and Intangible Assets*

The Group estimates the useful lives of right-of-use assets, property and equipment and intangible assets based on the period over which the assets are expected to be available for use. The estimated useful lives of these assets are reviewed periodically and are updated if expectations differ from previous estimates due to physical wear and tear, technical/commercial obsolescence and legal or other limits on the use of the assets.

The carrying amounts of right-of-use assets, property and equipment and intangible assets are analyzed in Notes 10.1, 11 and 13.1, respectively. Based on management's assessment as of September 30, 2025 and December 31, 2024, there is no change in the estimated useful lives of property and equipment during those years. Actual results, however, may vary due to changes in estimates brought about by changes in the factors mentioned above.

(g) *Fair Value Measurement of Investment Properties*

The Group's investment properties, which consists of parcels of land and improvements and buildings and improvements, are carried at fair value at the end of the reporting period. In determining the fair value of these assets, the Group engages the services of professional and independent appraisers applying the relevant valuation methodologies as discussed in Note 30.4.

For investment properties with appraisals conducted prior to the end of the current reporting period, management determines whether there are significant circumstances during the intervening period that may require adjustments or changes in the disclosure of fair value of those properties.

A significant change in these elements may affect prices and the value of the assets. The amounts of fair value gains recognized on investment property are disclosed in Note 12.

(h) *Determination of Realizable Amount of Deferred Tax Assets*

The Group reviews its deferred tax assets at the end of each reporting period and reduces the carrying amount to the extent that it is no longer probable that

sufficient taxable profit will be available to allow all or part of the deferred tax assets to be utilized.

The carrying value of recognized deferred tax assets, which management assessed may be fully utilized in the coming years, as of September 30, 2025 and December 31, 2024 is disclosed in Note 22.2. Certain deferred tax assets, however, were not recognized since management believes that there is no assurance that the related tax benefits will be realized in the coming years.

(i) *Impairment of Non-financial Assets*

In assessing impairment, management estimates the recoverable amount of each asset or a cash-generating unit based on expected future cash flows and uses an interest rate to calculate the present value of those cash flows. Estimation uncertainty relates to assumptions about future operating results and the determination of a suitable discount rate. Though management believes that the assumptions used in the estimation of fair values reflected in the consolidated financial statements are appropriate and reasonable, significant changes in those assumptions may materially affect the assessment of recoverable values and any resulting impairment loss could have a material adverse effect on the results of operations.

Based on management's assessment, certain non-financial assets were impaired in 2024 (see Note 7.3). Consequently, the Group recognizes loss on impairment for these assets (see Note 18).

(j) *Estimation of Reserve for Warranty Costs*

The Group offers a warranty, for a period ranging from one to two years, for each consumer electronic product sold. Management estimates the related provision for future warranty costs based on a certain percentage of sales, as determined based on historical warranty claim information as well as recent trends that might suggest that past cost information may differ from expectations. Warranty costs also include the actual cost of materials used in repairing the electronic products.

The amounts of provision for warranty claims recognized and the outstanding balance of Reserve for warranty costs, which is presented as part of Trade and Other Payables in the consolidated statements of financial position, are disclosed in Note 15.

(k) *Valuation of Post-employment Defined Benefit*

The determination of the Group's obligation and cost of post-employment benefit is dependent on the selection of certain assumptions used by actuaries in calculating such amounts. Those assumptions are described in Note 21.2 and include, among others, discount rates and expected rate of salary increases. A significant change in any of these actuarial assumptions may generally affect the recognized expense, other comprehensive income or losses and the carrying amount of the post-employment benefit asset and obligation in the next reporting period.

The amounts of the fair value of the retirement benefit asset and present value of retirement benefit obligation and the analysis of the movements in the fair value of the retirement benefit asset and present value of retirement benefit obligation, as well as the significant assumptions used in estimating such asset and obligation are presented in Note 21.2.

4. SEGMENT INFORMATION

4.1 *Business Segments*

Operating segments are reported in a manner consistent with the internal reporting provided to the Parent Company's BOD, its chief operating decision-maker. The BOD is responsible for allocating resources and assessing the performance of the operating segments.

In identifying its operating segments, management generally follows the Group's products and services. The Group's main operating businesses are organized and managed separately according to the nature of services and products provided and the different markets served, with each segment representing a strategic business unit as each of these services requires different technologies and resources as well as marketing approaches.

The Group's different business segments are presented as follows:

- (a) Distribution/Retail is involved in the sale of home appliances and other electronic products, professional audio and video equipment, mobile phones and devices, and prefabricated modular houses;
- (b) Property and related services are involved in the leasing, development and sale of real estate properties and hotel and restaurant operations;
- (c) Logistics and technical solutions are presently engaged in the business of warehousing, distribution, assembly and repair services of electronic products; and,
- (d) Investment and others include investment holding companies, and those included in the business of financing and credit extension.

The measurement policies of the Group used for segment reporting under PFRS 8, *Operating Segments*, are the same as those used in its consolidated financial statements. In addition, corporate resources, which are not directly attributable to the business activities of any operating segment, are not allocated to a segment.

Segment assets are allocated based on their use or direct association with a specific segment and they include all operating assets used by each business segment and consist principally of operating cash, receivables, inventories, investment properties and property and equipment, net of allowances and provisions.

Similar to segment assets, segment liabilities include all operating liabilities used by each segment and consist principally of accounts, wages, taxes currently payable and accrued liabilities. Segment assets and liabilities do not include deferred taxes.

Segment revenues, expenses and performance include sales and purchases between business segments; such sales and purchases are eliminated in the consolidation.

4.2 Analysis of Segment Information

The tables below and on the succeeding page present certain asset and liability information regarding business segments as of September 30, 2025 and December 31, 2024 and the related revenue and profit information for the period ended September 30, 2025 and September 30, 2024 (amounts are in thousands).

<i>(Amounts in PHP)</i>	<u>Distribution/ Retail</u>	<u>Property and Related Services</u>	<u>Logistics and Technical Solutions</u>	<u>Investment and Others</u>	<u>Elimination</u>	<u>Total</u>
2025						
SEGMENT RESULTS						
Total Revenues	<u>1,130,129</u>	<u>525,644</u>	<u>620,309</u>	<u>134,930</u>	<u>(111,146)</u>	<u>2,299,866</u>
Net Profit (Loss)	<u>3,858</u>	<u>308,335</u>	<u>113,143</u>	<u>37,993</u>	<u>398</u>	<u>463,727</u>
SEGMENT ASSETS AND LIABILITIES						
Total assets	<u>931,212</u>	<u>12,356,148</u>	<u>947,126</u>	<u>9,163,961</u>	<u>(7,675,697)</u>	<u>15,722,750</u>
Total liabilities	<u>247,920</u>	<u>2,468,152</u>	<u>139,136</u>	<u>91,628</u>	<u>(276,589)</u>	<u>2,670,247</u>

<i>(Amounts in PHP)</i>	<u>Distribution/ Retail</u>	<u>Property and Related Services</u>	<u>Logistics and Technical Solutions</u>	<u>Investment and Others</u>	<u>Elimination</u>	<u>Total</u>
2024						
SEGMENT RESULTS						
Total Revenues	<u>973,487</u>	<u>282,091</u>	<u>542,675</u>	<u>517,999</u>	<u>(459,781)</u>	<u>1,856,471</u>
Net profit (loss)	<u>7,160</u>	<u>139,474</u>	<u>106,146</u>	<u>423,741</u>	<u>(368,903)</u>	<u>307,618</u>
SEGMENT ASSETS AND LIABILITIES						
Total assets	<u>978,414</u>	<u>12,030,537</u>	<u>838,038</u>	<u>9,305,823</u>	<u>(7,651,886)</u>	<u>15,500,926</u>
Total liabilities	<u>299,321</u>	<u>2,463,629</u>	<u>143,191</u>	<u>93,591</u>	<u>(265,485)</u>	<u>2,734,247</u>

There have been no significant changes from prior periods in the measurement methods used to determine reported segment information.

4.3 Disaggregation of Revenues from Contracts with Customers and Other Counterparties

When the Group prepares its investor presentations and when the Group management evaluates the financial performance of the operating segments, it disaggregates revenue similar to its segment reporting as presented in Note 4.2. The Group determines that the categories used in the investor presentations and financial reports used by the Group's management can be used to meet the objective of the disaggregation disclosure requirement of PFRS 15, which is to disaggregate revenue from contracts with

customers and other counterparties (except for rentals accounted for under PFRS 16 included herein as additional information) into categories that depict how the nature, amount, timing and uncertainty of revenue and cash flows are affected by economic factors. A summary of additional disaggregation from the segment revenues and other unallocated income are shown below (amounts in thousands).

<i>(Amounts in PHP)</i>	Segment Revenues (Sales to External Customers)				
	Point in time	Over time	Leases	Interest	Total
<u>September 30, 2025</u>					
Distribution/retail	997,376	125,610	-	-	1,122,986
Logistics and technical solutions	37,850	470,831	109,332	-	618,013
Property and related services	-	91,602	350,058	-	441,660
Investments and others	-	51,437	-	65,770	117,207
	<u>1,035,226</u>	<u>739,480</u>	<u>459,390</u>	<u>65,770</u>	<u>2,299,866</u>
<u>September 30, 2024</u>					
Distribution/retail	938,933	34,555	-	-	973,488
Logistics and technical solutions	39,576	408,858	90,678	-	539,112
Property and related services	8,125	65,404	136,444	-	209,973
Investments and others	-	72,842	-	61,056	133,898
	<u>986,634</u>	<u>581,659</u>	<u>227,122</u>	<u>61,056</u>	<u>1,856,471</u>

The Group's segment revenues (sales to external customers) include rendering of services, sale of goods, rentals and sale of real estate which are presented in the consolidated statements of income.

5. CASH AND CASH EQUIVALENTS AND SHORT-TERM PLACEMENTS

5.1 Cash and Cash Equivalents

Cash and cash equivalents include the following components as of September 30:

<i>(Amounts in PHP)</i>	2025	2024
Cash on hand and in banks	301,478,089	399,838,255
Cash equivalents	<u>2,253,062,539</u>	<u>2,678,063,678</u>
	<u>2,554,540,628</u>	<u>3,077,901,933</u>

Cash in banks generally earn interest based on daily bank deposit rates. Cash equivalents pertain to highly liquid short-term investment with maturity periods varying from one to 90 days and earn annual interests ranging from 0.188% to 6.125% and 4.00% to 6.25%, in 2025 and 2024 respectively.

Interest earned from cash in banks and cash equivalents are presented as part of Interest under Revenues and as part of Finance income under Other Income (Charges) in the consolidated statements of income (see Note 20.2).

5.2 Short-term Placements

Short-term placements, which is presented separately in the consolidated statements of financial position, pertain to time deposits with maturity periods varying between 91 to 365 days and earns effective interests ranging from 5.00% to 6.125% in 2025 and 4.05% in 2024. As of September 30, 2025 and December 2024, short-term placements amounting to P768.3 million and P200.3 million, respectively, are presented separately in the consolidated statements of financial position.

Interest earned from short-term placements is presented as part of Interest under Revenues and as part of Finance income under Other Income (Charges) in the consolidated statements of income (see Note 20.2). The outstanding balance of such interest is presented as Interest receivable under Trade and Other Receivables in the consolidated statements of financial position (see Note 6).

6. TRADE AND OTHER RECEIVABLES

This account is composed of the following:

<i>(Amounts in PHP)</i>	Notes	2025	2024
Current:			
Trade receivables	6.1		
	26.1, 26.3	321,048,878	331,358,344
Loans receivable	6.3	86,291,968	55,231,555
Advances to:			
Suppliers	6.2(a)	15,666,220	13,562,252
Employees	6.2(b)	4,439,080	2,970,066
Rental receivables	6.5	195,262,824	98,796,871
Interest receivable	5.2, 7.2	10,026,535	10,496,718
Other receivables	6.6	25,271,301	30,176,956
		658,006,806	542,592,762
Allowance for impairment	6.7	(104,326,697)	(106,840,641)
		553,680,109	435,752,121
Non-current:			
Cash surrender value of investment in life insurance	6.4	467,022,995	451,773,013
Loans receivables	6.3	-	1,334,754
		467,022,995	453,107,767
		1,020,703,104	888,859,888

All trade and other receivables are subject to credit risk exposure [see Note 28.2(b)]. The Group does not identify the specific concentration of credit risk with regard to trade and other receivables as the amounts recognized resemble a large number of receivables from various customers.

6.1 Trade Receivables

Aside from the sales of goods and services, trade receivables also include the Group's receivables related to the sold condominium units which are being paid for by the customers in monthly installments. Certain receivables from trade customers are covered by post-dated checks. Trade receivables are measured at amortized cost and have annual effective interest rates ranging from 3.3% to 5.0% in 2024 depending on the payment terms. Trade receivables which are expected to be settled beyond one year after the end of the reporting period are classified as non-current trade and other receivables.

Trade receivables from the sale of goods and services are usually due within 30 to 90 days, generally unsecured and do not bear interest.

6.2 Advances

(a) Suppliers

Generally, advances to suppliers include advance payments made to suppliers for future purchases of mobile phone units and accessories and for the purchases of pro-tapes, video and medical equipment, and spare parts. In 2023, the Group made an advance payment to its third-party supplier for the construction of an investment property in Calamba, Laguna (see Note 12). The construction was completed in 2024 and the advances were all applied as payment to the contractors involved in the construction of the investment property.

Advances to suppliers that will be applied as payment for future purchase of merchandise inventories and supplies are classified and presented under Current Assets. On the other hand, advances to contractors and/or suppliers that will be applied as payment for future acquisition or construction of items of property and equipment, or acquisition and construction of investment property are classified and presented under the Non-Current Assets. The classification and presentation are based on the eventual usage or realization of the asset to which it was advanced for.

(b) Employees

Advances to employees represent unsecured, noninterest-bearing cash advances for business-related expenditures and are subject to liquidation.

6.3 Loans Receivables

Loans receivables pertain to appliances loans, business loans and car loans offered by the Group to its customers. Loans receivables that are expected to be settled beyond one year after the end of the reporting period or in the normal operating cycle of the business, if longer, are classified as part of non-current trade and other receivables.

Interest income recognized on the Group's loans receivables amounted to P11.4 million and P9.6 million in 2025 and 2024, respectively, and are presented as part of Interest under Revenues in the consolidated statements of income. The effective interest rates on loans receivables ranging from 5.00% to 36.00% both in 2025 and 2024. There was no outstanding interest on loans receivable as of September 30, 2025 and 2024.

6.4 Cash Surrender Value of Investment in Life Insurance

Cash surrender value of investment in life insurance pertains to insurance policies purchased by BRL for certain directors of the Parent Company. The beneficiary of this investment in life insurance is the Parent Company and accounted for under the cash surrender value method. Under this method, the initial cash surrender value of the insurance policies is recognized immediately in the consolidated statements of financial position. Subsequently, any increase in cash surrender value is recognized as part of Finance income under Other Income (Charges) in the consolidated statements of income (see Note 20.2). As of September 30, 2025 and 2024, the increase in cash surrender value amounted to P12.3 million and P18.7 million, respectively.

In 2024, the Group terminated two life insurance policies and received proceeds amounting to P547.0 million.

6.5 Rental Receivables

Rental receivables represent uncollected monthly receivables from a related party and third-party tenants of the Group. This includes rent receivables arising from the application of PFRS 16, which represent the difference between the cash basis rent income and the straight-line rent income of all outstanding lease contracts as of the end of the reporting periods.

6.6 Other Receivables

Other receivables include the following:

- amounts due from credit card companies for the sale of Closed-Circuit Television (CCTV), which are collected the following day the receivables are recognized;
- testing fees and utility charges billed by the Group to its lessees;
- unsecured, non-interest-bearing cash advances made to Homeowners' Association for expenses incurred by the unit owners and related outstanding receivables; and,
- retention fees and other claims to government (i.e., Social Security System).

6.7 Allowance for Impairment

All of the Group's trade and other receivables have been assessed for impairment based on the ECL model. The fair value of these short-term financial assets is not individually determined as the carrying amount is a reasonable approximation of fair value. Based on management's assessment of the ECL using the simplified approach, certain trade receivables were found to be impaired; hence, adequate amount of allowance for impairment have been recognized.

7. INVESTMENTS

7.1 Financial Assets at Fair Value Through Other Comprehensive Income

The Group has equity securities pertaining to its 33% equity ownership interest in the common stock of Sony Philippines, Inc. (SPI). This investment is related to the Joint Venture Agreement (JVA) executed in 1997 with Sony Corporation of Japan which has expired on May 8, 2005. On April 11, 2005, the Group received a formal notice of the expiry of the JVA. The Group and Sony Corporation have both agreed to pursue

negotiations for an equitable settlement of all matters relating to the JVA and its expiration. The Group determined that the fair value of this investment is nil as of September 30, 2025 and 2024.

On the other hand, the fair values of the Group's investments in club shares, amounting to P74.2 million as of September 30, 2025 and December 31, 2024, represent proprietary membership club shares determined based on quoted prices in less active markets due to lack of trading activities among its participants (see Note 30.2).

The recognized fair value gains are presented as items that will not be reclassified subsequently to profit or loss under Other Comprehensive Income in the consolidated statements of comprehensive income.

7.2 Investment in Bonds

In 2021, the Group invested in held-to-collect corporate bonds, classified, and measured at amortized cost, amounting to P20.0 million, which bear fixed interest rate of 4.34% per annum and will mature on October 12, 2027. The amount of investment is presented as Investment in Bonds in the consolidated statements of financial position. There were no additional investments made in 2024 and 2023.

Interest income generated from investment in bonds amounting to P0.6 million in 2025 and 2024 are presented as part of Interest under Revenues section of the consolidated statements of income. The outstanding balance of such interest amounting to P0.2 million as of September 30, 2025 and December 31, 2024 is presented as part of Interest receivable under Trade and Other Receivables in the consolidated statements of financial position (see Note 6).

The Group's investment in bonds, which are subject to credit risk exposure [see Note 28.2(e)], has been reviewed for impairment. Based on such review, the management determines that no impairment loss is needed to be recognized in 2025 and 2024 as the bonds were in good credit standing as of September 30, 2025 and December 31, 2024.

7.3 Investment in an Associate

The Parent Company's investment in an associate pertains to its ownership interest in Fekon. Fekon is a private company incorporated and domiciled in the Philippines. Fekon's primary purpose is to engage in the business of manufacturing, selling, distributing, marketing, trading and assembling of all kinds of goods such as but not limited to motorcycles, e-bicycles, motor parts and products, electronic devices and other electronic merchandise.

Fekon's registered office address and principal place of business is located at Block 7, Lot 8B, San Simon Industrial Park, San Isidro, San Simon, Pampanga.

As of December 31, 2024, Fekon is still in the process of completing its documents on its application to increase its authorized capital stock with the Commission. Management believes that upon approval by the Commission, the Group will have significant influence with 44% ownership interest over Fekon. Accordingly, the deposits are recognized as Investment in an Associate in the consolidated statements of financial position. The total equity interest of the Group is at 44% as of December 31, 2024.

Initially, the Group's investment is measured at cost and subsequently, upon approval of the application with the Commission, will be measured using the equity method.

The summarized unaudited financial information for Fekon is shown below.

<i>(Amounts in PHP)</i>	<u>2024</u>
Current assets	205,836,650
Non-current assets	<u>11,262,650</u>
Total assets	<u>217,099,300</u>
Current liabilities	72,625,623
Non-current liabilities	<u>6,500,289</u>
Total liabilities	<u>79,125,912</u>
Revenues	<u>106,314,483</u>
Net loss during the year	<u>10,829,891</u>

In December 2024, the Group recognized an additional impairment loss of P10.0 million, bringing the cumulative impairment loss to P50.0 million, reflecting the Group's continued reassessment of the associate's business outlook and financial performance.

8. MERCHANDISE INVENTORIES AND SUPPLIES

Inventories as of September 30, 2025 and December 31, 2024 were stated at lower of cost or NRV. The details of inventories are shown below.

<i>(Amounts in PHP)</i>	<u>Note</u>	<u>2025</u>	<u>2024</u>
At cost:			
Merchandise inventories	17.1	96,320,450	166,582,721
Service parts, supplies and others		<u>28,352,252</u>	<u>30,386,685</u>
		<u>124,672,702</u>	<u>196,969,406</u>
At NRV			
Merchandise inventories	17.1	222,130,483	219,842,080
Service parts, supplies and others		<u>-</u>	<u>25,111</u>
		<u>222,130,483</u>	<u>219,867,191</u>
Allowance for inventory obsolescence		<u>(63,058,795)</u>	<u>(63,265,556)</u>
		<u>159,071,688</u>	<u>156,601,635</u>
		<u>283,744,390</u>	<u>353,571,041</u>

The Group's inventories are primarily composed of appliances, handsets, devices, accessories, professional tapes, equipment, spare parts and modular houses.

The movements in the allowance for inventory obsolescence are as follows:

<i>(Amounts in PHP)</i>	<u>2025</u>	<u>2024</u>
Balance at beginning of year	63,265,556	28,663,956
Impairment losses	899,872	38,481,157
Reversal of allowance for inventory obsolescence	<u>(1,106,634)</u>	<u>(3,879,557)</u>
	<u>63,058,795</u>	<u>63,265,556</u>

The Group recognized a net provision for inventory obsolescence amounting to P34.6 million as of December 31, 2024 and a net reversal of provision from previous write-down of inventories upon sale of those inventories amounting to P207 thousand as of September 30, 2025. The net provision and reversal are included as an adjustment to Cost of Sales in the consolidated statements of income (see Notes 17.1 and 18).

The Group has no outstanding purchase commitment for the acquisition of merchandise inventories and supplies as of September 30, 2025 and December 31, 2024.

An analysis of the cost of merchandise inventories charged to operations is presented in Note 17.1.

9. REAL ESTATE INVENTORIES

This account is composed of:

<i>(Amount in PHP)</i>	<u>Notes</u>	<u>2025</u>	<u>2024</u>
Land and land development costs	9.1	26,386,874	26,386,874
Property development costs	9.2	<u>398,580,639</u>	<u>398,580,639</u>
		<u>424,967,513</u>	<u>424,967,513</u>

9.1 Land and Land Development Costs

In 2024, Starworld sold a parcel of road lot to Calamba Premier Realty Corporation for P67.7 million. The gain on sale of road lot is presented as part of Other gains under the Other Income (Charges) section of the 2024 audited consolidated statement of income.

Management believes that the carrying values of these assets are lower than their realizable values considering present market rates; thus, no valuation allowance has been provided in the financial statements.

9.2 Property Development Costs

The Group, through ZTC, has initiated the planning and construction of the Tri Towers condominium building. Construction was started by ZTC in 2005. The construction of Tower 1 and Tower 2 were completed in 2008 and 2012, respectively, and while the construction of Tower 3 has not yet started, it has already incurred expenses for the planning phase as of September 30, 2025.

Property development costs, at the end of each reporting periods, represent condominium units for sale, office tower units, construction in progress of land and Tower 3, office tower and parking units for which Group has been granted permit to sell by the Housing and Land Use Regulatory Board of the Philippines.

In 2024, the Group sold real estate inventories amounting to P8.1 million, which is presented as Real estate sales under the Revenues section of the 2024 consolidated statement of income.

Based on management's assessment, the related asset is still recoverable as of the end of the reporting periods (see Note 27.2).

10. LEASES

The Group is a lessee under non-cancellable operating leases covering certain office spaces and store branches. The lease for these office spaces and store branches has a term of one to five years. Generally, termination of lease contracts shall be communicated to the lessee by the lessor prior to the termination or expiration of the lease contract. With the exception of short-term leases and leases of low-value underlying assets, each lease is reflected in the consolidated statements of financial position as a right-of-use asset and a lease liability. Variable lease payments not based on an index or rate are excluded from the initial measurement of the lease liability and asset.

The Group classifies its right-of-use assets and lease liabilities as separate line items in the consolidated statements of financial position.

Leases generally restrict the use of the right-of-use assets to the Group, unless explicitly allowed for sublease. They are either non-cancellable or may only be terminated with a substantive fee. Some leases include options to purchase the underlying leased asset or extend the lease term. The Group is prohibited from selling or pledging the lease assets as collateral.

Under the lease agreements, the Group is responsible for maintaining the leased properties in good condition, ensuring they are returned in their original state at the lease end. Additionally, it must ensure the leased assets and cover related maintenance costs.

Refundable security deposits represent the lease deposits made for the lease of the Group's business spaces, both short and long-term lease agreements. Related security deposits for these leases amounted to P32.7 million and P34.7 million as of September 30, 2025 and December 31, 2024, respectively, and are presented as part of Other Current Assets and Other Non-current Assets in the consolidated statements of financial position (see Note 13). Refundable security deposits which are expected to be settled beyond one year after the end of the reporting period are classified as non-current assets.

10.1 Right-of-use Assets

The carrying amounts of the Group's right-of-use assets, which pertain to office spaces and store branches, as of September 30, 2025 and December 31, 2024, including the movements during the reporting period are shown below.

<i>(Amounts in PHP)</i>	<u>Note</u>	<u>2025</u>	<u>2024</u>
Balance at beginning of year		3,004,500	4,665,980
Additions		-	6,368,902
Amortization	18	(2,422,302)	(8,030,382)
Balance at end of year		582,198	3,004,500

10.2 Lease Liabilities

Lease liabilities are presented in the consolidated statements of financial position as of September 30, 2025 and December 31, 2024 as follows:

<i>(Amounts in PHP)</i>	<u>2025</u>	<u>2024</u>
Current	890,546	3,405,363
Non-current	502,510	502,510
	1,393,056	3,907,873

The movements in the lease liabilities recognized in the consolidated statements of financial position as of December 31 are as follows:

<i>(Amounts in PHP)</i>	<u>Note</u>	<u>2025</u>	<u>2024</u>
Balance at beginning of year		3,907,873	5,120,889
Additional lease liabilities		-	6,368,902
Repayments of lease liabilities	10.4	(2,514,817)	(7,975,734)
Interest accretion	10.4	-	393,816
		1,393,056	3,907,873

The use of extension and termination options gives the Group added flexibility in the event it has identified more suitable premises in terms of cost and/or location or determined that it is advantageous to remain in a location beyond the original lease term. An option is only exercised when consistent with the Group's regional markets strategy and the economic benefits of exercising the option exceed the expected overall cost.

The table below describes the nature of the Group's leasing activities by type of right-of-use asset recognized in the consolidated statements of financial position as of September 30, 2025 and December 31, 2024.

	Number of right-of-use assets leased	Range of Remaining term	Average remaining lease term	Number of leases with extension options	Number of leases with termination options
Office space and store branches	7	3 months to 1.5 year	1 year	1	2

As of September 30, 2025 and December 31, 2024, the Group has no commitments for leases entered into which had not commenced.

10.3 Lease Payments Not Recognized as Liabilities

The Group has elected not to recognize lease liabilities for short-term leases or for leases of low value assets. Payments made under such leases are expensed on a straight-line basis. In addition, certain variable lease payments are not permitted to be recognized as lease liabilities and are expensed as incurred.

The amount of expense relating to short-term leases for the year ended September 2025 and 2024 is allocated in the consolidated statements of income as follows:

<i>(Amounts in PHP)</i>	Notes	2025	2024
Cost of services	17.2	26,112,022	10,902,116
Cost of rental	17.3	163,800	164,400
General and administrative expenses		4,204,513	2,909,168
Selling and distribution cost		31,317,293	31,038,664
	18	61,797,628	45,014,348

10.4 Additional Profit or Loss and Cash Flow Information

The total cash outflow in respect of leases, including interest, amounted to P2.6 million and P601 thousand in 2025 and 2024, respectively. Interest expense in relation to lease liabilities is presented as part of Finance costs under Other Income (Charges) in the consolidated statements of income (see Note 20.1).

11. PROPERTY AND EQUIPMENT

The gross carrying amounts and accumulated depreciation, amortization and impairment losses of property and equipment at the beginning and end of 2025 and 2024 are shown below.

<i>(Amounts in PHP)</i>	Land	Buildings and Improvements	Machinery and Equipment	Furniture, Fixtures, and Office Equipment	Transportation Equipment	Test, Communication And Other Equipment	Computer System	Leasehold Improvement	Tools and Equipment	Construction in Progress	Total
September 30, 2025											
Cost	1,278,354,682	420,484,139	225,581,090	310,604,539	250,388,115	51,100,817	84,837,958	140,807,655	107,787,233	55,206,390	2,925,152,618
Accumulated depreciation and amortization	-	(266,308,925)	(194,918,532)	(268,392,688)	(210,323,201)	(42,168,867)	(76,347,071)	(131,202,341)	(86,710,379)	13,314,164	(1,263,057,840)
Accumulated impairment losses	-	(35,000,000)	-	-	-	-	-	-	-	(14,346,250)	(49,346,250)
) Net carrying amount	<u>1,278,354,682</u>	<u>119,175,214</u>	<u>30,662,558</u>	<u>42,211,851</u>	<u>40,064,914</u>	<u>8,931,950</u>	<u>8,490,887</u>	<u>9,605,314</u>	<u>21,076,854</u>	<u>54,174,304</u>	<u>1,612,748,528</u>
December 31, 2024											
Cost	1,278,354,682	402,796,870	198,689,135	333,954,562	309,259,474	30,969,248	87,322,925	124,563,193	114,828,730	63,412,571	2,944,151,390
Accumulated depreciation and amortization	-	(232,053,766)	(183,663,094)	(306,599,905)	(259,421,674)	(23,448,244)	(78,202,499)	(115,121,278)	(98,060,444)	14,346,250	(1,282,224,654)
Accumulated impairment losses	-	(35,000,000)	-	-	-	-	-	-	-	(14,346,250)	(49,346,250)
Net carrying amount	<u>1,278,354,682</u>	<u>135,743,104</u>	<u>15,026,041</u>	<u>27,354,657</u>	<u>49,837,800</u>	<u>7,521,004</u>	<u>9,120,426</u>	<u>9,441,915</u>	<u>16,768,286</u>	<u>63,412,571</u>	<u>1,612,580,486</u>

Construction in progress pertains to the accumulation of costs incurred on building improvements being constructed in various properties of the Group. There were no constructions completed in 2024 yet. In 2025 and 2024, no borrowing costs were capitalized.

In 2024, the Group transferred land from Property and Equipment, with a carrying amount of P10.0 million, to Investment Properties (see Note 12).

In 2024, the Group cancelled certain construction in progress amounting to P9.4 million resulting to the reduction of construction in progress.

In 2024, the Group sold certain items of property and equipment with carrying amount of P7.8 million. Aside from these assets, the Group also disposed of certain fully depreciated and amortized items of property and equipment with original cost of P4.1 million in 2024. The Group recognized a gain on disposal of these assets. (see Note 20.3).

The amount of depreciation and amortization computed on property and equipment is presented as part of the following accounts:

<i>(Amounts in PHP)</i>	<u>Notes</u>	<u>2025</u>	<u>2024</u>
Cost of services	17.2	27,479,045	30,756,213
Cost of rentals	17.3	16,052,725	10,571,862
General and administrative Expenses		15,929,786	15,087,302
Selling and distribution cost		4,073,969	2,534,120
	18	<u>63,535,525</u>	<u>58,949,947</u>

As of September 30, 2025 and December 31, 2024, none of the Group's property and equipment were held as collateral for loans. Further, no impairment losses were recognized in 2025 and 2024 as the management believes that the carrying amount of property and equipment is recoverable in full.

There were no restrictions on titles and items of property and equipment as of September 30, 2025 and December 31, 2024.

12. INVESTMENT PROPERTIES

The Group's investment properties, accounted for under the fair value method, consist mainly of land and improvements, and buildings and improvements that are held under operating lease agreements. These properties earn rental income amounting to P459 million and P227 million in 2025 and 2024, respectively, and are presented as Rentals under Revenues in the consolidated statements of income. The Group also incurred direct costs such as real property taxes, depreciation and amortization and utilities, which are presented as part of Cost of Rentals in the consolidated statements of income (see Note 17.3).

The fair values of the Group's investment properties as of December 31, 2024 were determined based on appraisal report dated November 19, 2024. Management obtains annual appraisal reports on its investment properties from independent appraisers (see Note 30.4).

The changes in the carrying amounts of investment property as presented in the consolidated statements of financial position are summarized as follows:

<i>(Amounts in PHP)</i>	Land and Improvements	Building and Improvement	Construction in Progress	Total
2025:				
Balance at beginning of year	5,601,997,151	2,353,512,353	86,171,773	8,041,681,277
Additions	1,193,247	86,198,926	50,895,482	138,287,655
Transfer from property and equipment	-	1,517,857	(583,554)	934,303
Reclassification	308,414	64,511,589	(64,820,003)	-
Balance at end of year	5,603,498,812	2,505,740,725	71,663,698	8,180,903,235
2024:				
Balance at beginning of year	5,120,560,888	769,699,957	1,076,906,086	6,967,166,931
Additions	1,560,385	209,551	961,958,246	963,728,182
Fair value gains (losses) – net (see Note 19)	544,512,783	(281,239,605)	-	263,273,178
Disposals	(74,892,929)	(87,594,085)	-	(162,487,014)
Transfer from property and equipment	10,000,000	-	-	10,000,000
Reclassification	256,024	1,952,436,535	(1,952,692,559)	-
Balance at end of year	5,601,997,151	2,353,512,353	86,171,773	8,041,681,277

In 2025 and 2024, the Group completed the construction of certain buildings, building improvements and land improvements. The Group capitalized borrowing costs in 2024 amounting to P18.1 million (see Note 14).

In 2024, the Group transferred land with a carrying amount of P10.0 million from Property and Equipment to Investment Properties upon the commencement of lease (see Note 11).

In 2022, the Group paid cash bond amounting to P15.0 million for its application for conversion of land and is presented as part of Cash bond under Other Non-current Assets in the consolidated statements of financial position (see Note 13.2).

As of September 30, 2025 and 2024, the Group received compensation totaling P4 million in each respective period from an association managing an industrial park, in settlement of damages to the Group's property which is presented under Other Operating Income in the consolidated statements of income (see Note 19).

The Group sold certain land and building and improvements with a total appraised value of P162.5 million in 2024. The related gain and loss on these sales is presented in Other Gains under Other Income (Charges) in the consolidated statements of income (see Note 20.3).

Certain investment property is used as collateral on loan payable as of September 30, 2025 (see Note 14).

13. OTHER ASSETS

The composition of these accounts is shown below.

<i>(Amounts in PHP)</i>	<u>Notes</u>	<u>2025</u>	<u>2024</u>
Current:			
Input VAT – net	13.3	327,026,532	351,547,938
Creditable withholding taxes		140,978,872	128,030,214
Prepayments	13.3	13,955,422	30,192,368
Refundable deposit to:			
lessors	10	26,829,262	28,415,500
utility companies	13.3	6,646,009	7,201,693
Deferred input VAT	13.3	7,709,780	5,584,341
Deferred costs	13.3	17,544,402	13,846,430
Others		4,717,548	2,375,393
		<u>545,407,827</u>	<u>567,193,877</u>
Non-current:			
Cash bond	13.2	16,685,987	15,635,346
Intangible assets – net	13.1	14,048,276	13,189,231
Refundable deposits	10	5,933,839	6,300,583
Others	13.3	11,713,154	13,088,848
		<u>48,381,256</u>	<u>48,214,008</u>
		<u>593,789,083</u>	<u>615,407,885</u>

13.1 Intangible Assets

Intangible assets include non-proprietary club shares and computer software licenses, which are accounted for under the cost model.

Intangible assets are subject to annual impairment testing whenever there is an indication of impairment. Certain non-proprietary club shares were assessed to be impaired as determined by the management; hence, an adequate amount of allowance for impairment has been recognized in prior years. There were no impairment losses recognized in 2025 and 2024 as the recoverable amount of intangible assets determined by management is higher than the carrying value.

There are no intangible assets that have been pledged as security for any liabilities. Further, there were no other contractual commitments entered into in 2025 and 2024 related particularly for intangible assets.

13.2 Cash Bond

Cash bond represents payments made by the Group for its application for conversion of land (see Note 12). It also includes the deposits made with the Bureau of Customs for taxes and duties related to its importations. As of September 30, 2025 and December 31, 2024, the total amount is currently demandable; however, the Group does not expect to refund the cash bond within 12 months from the end of the reporting period.

13.3 Others

In 2024, certain input VAT of the Group was found to be impaired by the management; hence, adequate amounts of allowance for impairment have been recognized.

Prepayments pertain to prepaid insurance, prepaid rent, and prepayments for professional fees, import charges and others.

Deferred costs represent the cost of inventories which have not been charged to cost of sales pending the completion of the Group's certain projects. In 2024, deferred costs were incurred due to additional projects during the year.

Deposits to suppliers represent the refundable amount paid by the Group to its suppliers for the distribution utilities provided to the Group.

Other current assets include deferred installation costs which pertain to the costs paid by the Group to its contractors for the installation of modular houses. Upon completion of installation, the cost is transferred to cost of sales. On the other hand, other non-current assets mostly pertain to land properties held by SMC which are subject to transfer to certain individuals under R.A. No. 6657, *Comprehensive Agrarian Reform Law of 1988*.

14. INTEREST-BEARING LOAN

The Group received proceeds from the long-term loan obtained from a local bank amounting to P770.0 million and P105 million, in 2024 and 2023, respectively, to partially finance the construction of warehouse facility in Calamba, Laguna. The outstanding loan has a term of ten years with a two-year grace period. The loan bears interest ranging from 5.95% to 6.60% and 6.00% to 6.95% per annum in 2025 and 2024, respectively subject to quarterly interest rate repricing. In 2024, the related debt issuance costs and documentary stamp tax is presented as part of Taxes and licenses under General and Administrative Expenses in the consolidated statement of income (see Note 18). In 2024, the Group capitalized borrowing costs amounting to P18.1 million.

The loan is secured by a real estate mortgage for a total amount of P1.2 billion on real estate property recorded as part of Investment Properties in the consolidated statements of financial position (see Note 12) and a suretyship agreement with one subsidiary.

Pursuant to the terms of these loan agreements, the Group is required to comply with certain financial covenants. The Group is required to maintain a maximum debt-to-equity ratio of 3.00:1.00 starting December 31, 2023, and a minimum debt-service coverage ratio of 1.25:1.00 commencing January 1, 2026. As of September 30, 2025 and December 31, 2024, the Group has been compliant with the financial covenants.

As of September 30, 2025, the Group's interest-bearing loans amounted to P875 million, of which P29.5 million being due within one year is presented separately under Current Liabilities. The remaining P845.5 million, which is due beyond one year, is classified as non-current and presented under Non-current Liabilities in the consolidated statements of financial position.

15. TRADE AND OTHER PAYABLES

This account consists of:

<i>(Amounts in PHP)</i>	<u>Notes</u>	<u>2025</u>	<u>2024</u>
Trade payables		320,302,785	324,605,911
Refundable deposits	16, 25.2	38,610,675	121,115,031
Non-trade payables		21,647,389	50,442,908
Unearned rentals	16	73,819,564	42,011,665
Accrued expenses		31,604,152	32,718,770
Contract liability		17,673,304	17,673,304
Withholding taxes payable		7,764,304	10,589,366
Advances from customers		14,284,289	8,089,418
Deferred output VAT		3,030,799	7,713,717
Output VAT		8,660,300	6,134,661
Rentals payable		4,278,522	4,278,523
Reserve for warranty costs		3,847,508	4,223,759
Retention payable		1,175,791	1,329,603
Other payables		1,639,511	27,199,661
		<u>548,338,893</u>	<u>658,126,297</u>

Trade payables mainly represent obligations to various suppliers for the acquisition of goods, materials and supplies necessary for the Group's operations and productions.

Nontrade payables are the obligations arising from transactions that are not within the ordinary course of business which includes lessees' deposits for electricity, communication costs, gasoline expenses, professional fees and others.

Accrued expenses include amounts charged for rentals, outside services, salaries and other incidental operating expenses of the Group which are expected to be settled within the next reporting period.

The Group receives refundable deposits from various lessees. The long-term portion of the refundable deposits from various tenants is shown as a separate line item in the consolidated statements of financial position (see Note 16). Refundable deposits are remeasured at amortized cost using effective interest rates ranging from 5.45% to 9.63% in 2024 at the inception of the lease term.

Contract liability arises when payment is received from customers prior to the delivery and installation of the equipment.

Unearned rentals represent advance payments received from lessees.

Advances from customers pertain to the integration services in progress and customer deposit on sale of goods paid in advance to the Group.

Management considers the carrying amounts of trade and other payables recognized in the consolidated statements of financial position to be reasonable approximation of their fair values.

16. REFUNDABLE DEPOSITS

The Group has long-term refundable deposits from various tenants. These refundable deposits are remeasured at amortized cost using the effective interest ranging from 3.48% to 5.50% at the inception of the lease terms.

In 2022, the Group entered into a Built-to-Specification Agreement (BTSA) with a third-party lessee for the development of a warehouse. The lessee will lease the warehouse for 15 years, with an option to renew for another five years. The Group received a security deposit of P172.4 million to safeguard against potential non-payment by the lessee once the lease conditions have been fulfilled.

On October 15, 2024, the initial certificate of completion was issued. Consequently, in accordance with the amended lease contract and upon the lessee's acceptance of the initial certification of completion, the Group converted the P86.2 million to advance rental and applied to the monthly rental starting August 1, 2024 until fully consumed. The corresponding unearned rental amounting to P27.0 million is presented as part of Unearned rental under Trade and Other Payables in the 2024 consolidated statement of financial position (see Note 15).

As of December 31, 2024, construction of the warehouse has been completed according to specifications outlined in the BTSA, and the property has been reclassified from Construction in Progress to Building and Improvements under Investment Properties in the statements of financial position (see Note 12). Rental income from this lease is recognized under Rentals under Revenues.

As of September 30, 2025 and December 31, 2024, the outstanding balance of these refundable deposits amounted to P60.2 million and P142.8 million, respectively, presented separately under Trade and Other Payables in the Current Liabilities section and Refundable Deposits in the Non-current Liabilities section of the consolidated statements of financial position.

17. COSTS OF SALES, SERVICES, RENTALS AND REAL ESTATE SALES

17.1 Cost of Sales

The details of this account are shown below.

<i>(Amounts in PHP)</i>	Notes	2025	2024
Merchandise inventories			
at beginning of year	8	386,424,801	319,319,293
Net purchases of merchandise			
inventories during the year	18, 25.1	755,646,877	988,220,224
Goods available for sale		1,142,071,678	1,307,539,517
Merchandise inventories			
at end of year	8	(318,450,939)	(534,207,244)
Net provision of allowance			
For inventory obsolescence		(206,760)	7,839,813
	18	823,413,979	781,172,086

17.2 Cost of Services

The following are the breakdown of direct costs and expenses from rendering of services:

<i>(Amounts in PHP)</i>	<u>Notes</u>	<u>2025</u>	<u>2024</u>
Subcontracting services		123,703,264	89,586,766
Service fees		47,618,375	68,777,093
Materials, supplies, and other consumables		52,896,191	54,933,085
Depreciation and amortization	10.1, 11	27,479,045	31,241,575
Salaries and employee benefits	21.1	51,625,146	44,182,616
Transportation and travel		35,113,056	30,738,112
Outside services		24,185,633	20,141,251
Rentals	10.3	26,112,022	10,902,116
Repairs and maintenance		13,662,343	7,073,164
Communication, light and water		6,967,424	7,187,531
Taxes and licenses		285,078	341,062
Food and beverage		7,378,984	2,520,340
Insurance		4,746,845	3,932,972
Integration		88,522,117	13,325,997
Others		14,330,112	8,556,347
	18	<u>524,625,636</u>	<u>393,440,027</u>

17.3 Cost of Rentals

The details of this account are as follows:

<i>(Amounts in PHP)</i>	<u>Notes</u>	<u>2025</u>	<u>2024</u>
Taxes and licenses		36,424,952	27,914,195
Depreciation and amortization	11	16,052,725	10,571,862
Outside services		9,371,273	8,752,926
Repairs and maintenance		6,056,194	6,295,233
Salaries and employee benefits	21.1	994,780	938,239
Association dues		2,296,982	1,997,365
Rentals	10.3	163,800	164,400
Utilities and communication		12,568,978	5,766,873
Others		5,229,657	2,669,037
	18	<u>89,159,341</u>	<u>65,070,130</u>

Others primarily consist of franchise fees and insurance expenses.

17.4 Cost of Real Estate Sales

This account pertains to the Group's cost of condominium units and parking lots amounting to P4.0 million (see Note 18). There was no sale of real estate inventories in 2025.

18. OPERATING EXPENSES BY NATURE

The details of operating expenses by nature are shown below.

<i>(Amounts in PHP)</i>	Notes	2025	2024
Net purchases of merchandise inventories	17.1, 25.1	755,646,877	988,220,224
Salaries and employee benefits	21.1, 21.2, 25.8	236,588,762	214,125,819
Subcontracting services		145,347,825	110,602,407
Depreciation and amortization	10.1, 11, 13.1	65,957,827	60,085,723
Materials, supplies and other consumables		57,978,409	59,501,506
Service fees		47,618,375	68,777,093
Taxes and licenses	1.1, 14	73,573,593	75,896,478
Utilities and communication		71,509,171	59,718,589
Rentals	10.3	61,797,628	45,014,348
Outside services	1.1	59,620,087	49,751,621
Transportation and travel		50,932,006	42,412,469
Repairs and maintenance		29,955,078	24,744,729
Selling and bank charges		22,118,329	16,490,769
Installation cost		7,493,767	2,537,755
Representation and entertainment		6,347,108	5,312,441
Advertising and promotions		2,316,662	5,935,280
Cost of real estate sold	17.4		3,962,442
Food and beverage		7,378,984	2,520,340
Warranty claims		7,214	78,622
Provision of allowance for inventory obsolescence - net	8	(206,761)	7,839,814
Insurance		12,695,927	12,232,013
Integration		88,522,117	13,325,997
Reversal of impairment loss on Trade and other receivables		(4,610,796)	(1,565,809)
Reversal of impairment loss on Advances - net			(4,035,813)
Impairment loss on tax assets-net			8,141,417
Changes in merchandise, finished goods and work-in-process inventories	17.1	67,973,862	(214,887,951)
Miscellaneous		26,887,726	22,523,964
		<u>1,893,449,777</u>	<u>1,679,262,287</u>

These expenses are classified in the consolidated statements of income as follows:

<i>(Amounts in PHP)</i>	Notes	2025	2024
Cost of sales	17.1	823,413,979	781,172,086
Cost of services	17.2	524,625,636	393,440,027
General and administrative expenses		317,283,836	319,571,367
Selling and distribution costs		138,966,985	116,046,235
Cost of rentals	17.3	89,159,341	65,070,130
Cost of real estate sales	17.4	-	3,962,442
		<u>1,893,449,777</u>	<u>1,679,262,287</u>

19. OTHER OPERATING INCOME

The breakdown of this account is as follows:

<i>(Amounts in PHP)</i>	Notes	<u>2025</u>	<u>2024</u>
Income from utilities charged to tenants		20,851,354	15,692,437
Common usage service area	25.5	22,039,594	21,009,940
Compensation for damages	12	4,017,857	4,017,857
Forfeited refundable deposit		497,591	-
Service income from bank guarantee		5,029,014	-
Other operating income - incremental investment for securing LEED Gold Certification		76,575,376	-
Supplier supports		5,055,025	7,778,785
Miscellaneous – net		<u>4,328,383</u>	<u>1,853,056</u>
		<u>138,394,194</u>	<u>50,352,065</u>

Other operating income from incremental investment pertains to the amount charged by lessor to the lessee for securing Leadership in Energy and Environmental Design (LEED) Gold Certification for the leased premises.

Service income from bank guarantee represents the amount charged by the lessor to the lessee for securing a loan equal to the bank guarantee or security deposit. The calculation of which is detailed in the agreement.

20. OTHER INCOME (CHARGES)

20.1 Finance Costs

This account consists of the following:

<i>(Amounts in PHP)</i>	Notes	<u>2025</u>	<u>2024</u>
Foreign currency exchange losses		1,319,011	2,018,554
Interest expense on:			
Lease liabilities	10.4	126,929	47,038
Interest-bearing loans		41,378,732	337,835
Deficiency tax		1,441,711	-
Miscellaneous		<u>1,161,466</u>	<u>183,221</u>
		<u>45,427,849</u>	<u>2,586,648</u>

20.2 Finance Income

This account consists of the following:

<i>(Amounts in PHP)</i>	<u>Notes</u>	<u>2025</u>	<u>2024</u>
Interest income from:			
Cash and cash equivalents			
short term placements	5	64,470,380	81,673,769
Real estate sales	6.1		4,577
Increase in cash surrender value			
of investment in life insurance	6.4	12,305,674	18,784,089
Foreign currency exchange gains		640,882	10,497,657
Others		1,291,821	-
		<u>78,708,757</u>	<u>110,960,092</u>

20.3 Other Gains

The breakdown of this account is as follows:

<i>(Amounts in PHP)</i>	<u>Notes</u>	<u>2025</u>	<u>2024</u>
Gain (loss) on sale of			
investment properties – net	12, 25.6	2,421,520	(6,338,666)
Proceeds from insurance		15,577,350	5,400,529
Gain on sale of road lot		-	67,690,000
Gain on sale of property			
and equipment	11	-	1,425,658
Miscellaneous		2,839,809	6,468,760
		<u>20,838,679</u>	<u>74,646,281</u>

21. EMPLOYEE BENEFITS

21.1 Salaries and Employee Benefits Expense

Expenses recognized for salaries and employee benefits are summarized below.

<i>(Amounts in PHP)</i>	<u>Notes</u>	<u>2025</u>	<u>2024</u>
Short-term benefits		236,588,762	214,125,819
	18	<u>236,588,762</u>	<u>214,125,819</u>

These expenses are classified in the consolidated statements of income as follows:

<i>(Amounts in PHP)</i>	Notes	2025	2024
General and administrative expenses		154,663,065	141,570,246
Cost of services	17.2	51,625,146	44,182,616
Selling and distribution costs		29,305,770	27,434,718
Cost of rentals	17.3	994,781	938,239
	18	236,588,762	214,125,819

21.2 Post-employment Benefits

(a) Characteristics of the Defined Benefit Plan

The Group maintains a funded, tax-qualified, non-contributory post-employment benefit plan that is being administered by an investment manager that is legally separated from the Group. The investment manager manages the fund in coordination with the Group's management who acts in the best interest of the plan assets and is responsible for setting the investment policies. The post-employment plan covers all regular full-time employees.

The normal retirement age is 60 with a minimum of five years of credited service. The Group's post-employment benefit plan provides retirement benefits ranging from 100% to 115% of the final monthly covered compensation (average monthly basic salary during the last 12 months of credited service) for every year of credited service.

(b) Explanation of Amounts Presented in the Consolidated Financial Statements

Actuarial valuations are made annually to update the retirement benefit costs and the amount of contributions. All amounts presented on the succeeding pages are based on the actuarial valuation report obtained from an independent actuary in 2024.

The amounts of retirement benefit asset recognized in the consolidated statements of financial position are determined as follows:

<i>(Amounts in PHP)</i>	2024
Fair value of plan assets	265,661,419
Present value of obligation	(134,456,547)
	131,204,872

On the other hand, the retirement benefit obligation recognized by certain subsidiaries, which does not have an established post-employment benefit plan, amounted to P29.8 million as of December 31, 2024.

The movements in the fair value of plan assets of the Group are presented below.

<i>(Amounts in PHP)</i>	<u>2024</u>
Balance at beginning of year	256,663,816
Interest income	15,607,112
Benefits paid	(4,847,257)
Loss on plan assets (excluding amounts included in net interest)	<u>(1,762,252)</u>
Balance at end of year	<u>265,661,419</u>

The movements in the present value of the retirement benefit obligation recognized in the books are as follows:

<i>(Amounts in PHP)</i>	<u>2024</u>
Balance at beginning of year	152,910,948
Current service costs	15,909,588
Interest costs	9,245,426
Remeasurements –	
Actuarial gains (losses) arising from:	
Changes in financial assumptions	(8,704,280)
Experience adjustments	92,707
Changes in demographic assumptions	-
Benefits paid	(5,212,503)
Benefits paid from book reserve	<u>-</u>
Balance at end of year	<u>164,241,886</u>

The significant actuarial gains or losses in 2024 arising from the financial assumptions pertain to the effects of differences between the discount rates and salary projection rates used while the actuarial gains arising from experience adjustments pertain to the effects of differences between the previous actuarial assumptions and what has actually occurred, including the changes in those actuarial assumptions during the applicable reporting periods.

The plan assets consist of the following as of December 31 (see Note 25.9):

<i>(Amounts in PHP)</i>	<u>2024</u>
Debt securities:	
Philippines government bonds	242,559,092
Unit investment trust fund (UITF)	10,576,342
Corporate bonds	9,322,797
Mutual funds	75,311
Others	<u>3,087,877</u>
	<u>265,621,419</u>

The fair values of the debt securities are determined based on quoted market prices in active markets (classified as Level 1 of the fair value hierarchy). UITF is classified as Level 2 while other assets are classified as Level 3 in the fair value hierarchy.

The plan assets earned a net return of P13.8 million in 2024.

Plan assets do not comprise any of the Group's own financial instruments or any of its assets occupied and/or used in its operations.

The components of amounts of post-employment benefit expense recognized in the consolidated statements of income and consolidated statements of comprehensive income in respect of the post-employment defined benefit plan. Current service cost and past service cost are presented as part of Salaries and employee benefit under General and Administrative Expenses in the consolidated statements of income. The net interest income is included in Other gains under Other Income (Charges) section in the consolidated statements of income. Amounts recognized in other comprehensive income, net of tax, were classified within items that will not be reclassified subsequently to profit or loss in the consolidated statements of comprehensive income.

For determination of the post-employment benefit obligation, the following actuarial assumptions were used:

	<u>2024</u>
Discount rates	6.08% - 6.16%
Salary increase rate	8.00%

Assumptions regarding future mortality are based on published statistics and mortality tables. The average remaining working lives of employees before retirement at the age of 60 ranges from 4.0 to 30.0 years for males and 8.0 to 27.0 years for females. These assumptions were developed by management with the assistance of an independent actuary. Discount factors are determined close to the end of each reporting period by reference to the interest rates of a zero-coupon government bond with terms to maturity approximating to the terms of the post-employment obligation. Other assumptions are based on current actuarial benchmarks and management's historical experience.

(c) *Risks Associated with the Retirement Plan*

The plan exposes the Group to actuarial risks such as investment risk, interest rate risk, longevity risk and salary risk.

(i) *Investment and Interest Risks*

The present value of the defined benefit obligation is calculated using a discount rate determined by reference to market yields of government bonds. Generally, a decrease in the interest rate of a reference government bond will increase the plan obligation. However, this will be partially offset by an increase in the return on the plan's investments in debt securities and if the return on plan asset falls below this rate, it will create a deficit in the plan. Currently, the plan is generally concentrated on investment in debt securities, although the Group also invests in UITF.

(ii) *Longevity and Salary Risks*

The present value of the defined benefit obligation is calculated by reference to the best estimate of the mortality of the plan participants both during and after their employment, and to their future salaries. Consequently, increases in the life expectancy and salary of the plan participants will result in an increase in the plan obligation.

(iii) *Inflation Risk*

A significant proportion of the defined benefit obligation is linked to inflation. The increase in inflation will increase the Group's liability. A portion of the plan assets are inflation-linked debt securities which will mitigate some of the effects of inflation.

(d) *Other Information*

The information on the sensitivity analysis for certain significant actuarial assumptions, the Group's asset-liability matching strategy, and the timing and uncertainty of future cash flows related to the retirement plan are described below and on the succeeding pages.

(i) *Sensitivity Analysis*

The following table summarizes the effects of changes in the significant actuarial assumptions used in the determination of the defined benefit asset as of December 31, 2024:

(Amounts in PHP)	Impact on Post-Employment Defined Benefit Obligation		
	Change in Assumption	Increase in Assumption	Decrease in Assumption
<u>December 31, 2024</u>			
Discount rate	+/- 0.5%	(7,145,553)	8,102,696
Salary increase rate	+/- 1.0%	15,921,291	(13,104,160)

The sensitivity analysis above is based on a change in an assumption while holding all other assumptions constant. This analysis may not be representative of the actual change in the defined benefit obligation as it is unlikely that the change in assumptions would occur in isolation of one another as some of the assumptions may be correlated. Furthermore, in presenting the above sensitivity analysis, the present value of the defined benefit obligation has been calculated using the projected unit credit method at the end of the reporting period, which is the same as that applied in calculating the defined benefit obligation recognized in the consolidated statements of financial position.

The methods and types of assumptions used in preparing the sensitivity analysis did not change compared to the previous years.

(ii) *Asset-liability Matching Strategies*

To efficiently manage the retirement plan, the Group through its Management Committee, ensures that the investment positions are managed in accordance with its asset-liability matching strategy to achieve those long-term investments are in line with the obligations under the retirement scheme. This strategy aims to match the plan assets to the retirement obligations by investing in long-term fixed interest securities (i.e., government or corporate bonds) with maturities that match the benefit payments as they fall due and in the appropriate currency.

The Group actively monitors how the duration, and the expected yield of the investments are matching the expected cash outflows arising from the retirement obligations.

In view of this, investments are made in reasonably diversified portfolios, such that the failure of any single investment would not have a material impact on the overall level of assets. A large portion of the plan assets as of December 31, 2024 are generally concentrated in government debt securities, although the Group also invests in UITF for liquidity purposes.

(iii) *Funding Arrangements and Expected Contributions*

The plan is currently overfunded by P160.4 million in 2024, based on the latest actuarial valuation. On the other hand, the Group is yet to determine how much and when to fund its retirement benefit obligation as of December 31, 2024.

The Group does not expect to make any contribution to the plan during the next reporting period.

The maturity profile of undiscounted expected benefit payments from the plan follows:

<i>(Amounts in PHP)</i>	<u>2024</u>
Within one year	19,800,792
More than one year to 5 years	32,567,887
More than 5 years to 10 years	89,458,820
More than 10 years to 15 years	133,185,079
More than 15 years to 20 years	237,002,896
More than 20 years	<u>1,631,338,247</u>
	<u>2,143,353,721</u>

The weighted average duration of the defined benefit obligation at the end of the reporting period is 19 years.

22. TAXES

22.1 Current and Deferred Taxes

The components of tax expense reported in the consolidated statements of income and consolidated statements of comprehensive income are as follows:

<i>(Amounts in PHP)</i>	<u>2025</u>	<u>2024</u>
<i>Reported in statements of income</i>		
Current tax expense:		
Regular corporate income tax (RCIT)		
at 25% / 20%	66,539,438	85,458,170
Final tax at 20% / 1.5%	22,903,348	25,735,634
Minimum corporate income tax (MCIT)		
at 2%	1,522,586	876,775
	90,965,372	112,070,579
Deferred tax expense (income) arising from origination and reversal of temporary differences	44,237,588	(9,108,932)
	135,202,960	102,961,647

The net deferred tax assets of certain subsidiaries relate to the following:

<i>(Amounts in PHP)</i>	<u>2025</u>	<u>2024</u>
Deferred tax assets:		
Allowance for inventory		
obsolescence	5,004,657	5,004,657
Allowance for impairment on		
trade and other receivables	3,575,304	3,575,304
Retirement benefit obligation	3,105,428	3,105,428
Deferred income	1,380,508	1,380,508
Provision for warranty claims	1,055,940	1,055,940
Accrued expenses	585,352	585,352
Deferred rental income	44,724	44,724
	14,751,913	14,751,913
Deferred tax liabilities:		
Unrealized foreign currency loss	(2,046,295)	(2,046,295)
PFRS 16 adoption	(150,658)	(150,658)
	(2,196,953)	(2,196,953)
	12,554,960	12,554,960

The net deferred tax liabilities of certain subsidiaries relate to the following:

<i>(Amounts in PHP)</i>	<u>2025</u>	<u>2024</u>
Deferred tax assets:		
Accumulated amortization on right-of-use assets	5,679,821	5,679,821
Allowance for impairment on trade and other receivables	5,198,900	5,198,900
Unearned rent income	3,629,920	3,629,920
Impairment losses on property and equipment	3,586,563	3,586,563
Allowance for inventory obsolescence	3,407,236	3,407,236
Impairment losses on input VAT	1,503,292	1,503,292
Inventory losses due to obsolescence	238,418	238,418
Excess MCIT over RCIT	235,020	235,020
Deferred rent income	156,977	156,977
Unamortized past service costs	89,633	89,633
Impairment losses on trade and other receivables	69,168	69,168
Unrealized foreign currency loss (gain)	(2,530)	(2,530)
	<u>23,792,418</u>	<u>23,792,418</u>
Deferred tax liabilities:		
Fair value gains on investment properties – net	(906,196,368)	(906,196,368)
Accumulated depreciation on investment properties	(194,919,254)	(173,664,566)
Post-employment benefit asset	(30,660,274)	(30,660,274)
Accrued rent income	(42,384,736)	(19,401,833)
Excess of fair value over cost of property	(12,211,529)	(12,211,529)
Amortization of lease liabilities	(5,679,821)	(5,679,821)
Unrealized foreign currency gains	(3,165,153)	(3,165,153)
PFRS 16	225,844	225,844
	<u>(1,194,991,291)</u>	<u>(1,150,753,700)</u>
Deferred tax liabilities – net	<u>(1,171,198,873)</u>	<u>(1,126,961,282)</u>

Presented below are the details of NOLCO, which can be claimed as deductions from future taxable profit within three to five years from the year the tax loss was incurred. Specifically, NOLCO incurred in 2021 and 2020 can be claimed as a deduction from the gross income until 2026 and 2025, respectively, in accordance with R.A. No. 11494, *Bayanihan to Recover as One Act*. In 2022, the NOLCO carry-over period is reverted to three years from the year the tax loss was incurred (amounts in PHP).

<u>Year</u>	<u>Amount</u>	<u>Applied Amount</u>	<u>Expired Amount</u>	<u>Remaining Balance</u>	<u>Valid</u>
2024	66,488,289	-	-	66,488,289	2027
2023	58,202,069	-	-	58,202,069	2026
2022	30,654,231	-	-	30,654,231	2025
2021	138,523,393	-	-	138,523,393	2026
2020	166,054,076	(19,958,639)	-	146,095,437	2025
	<u>459,922,058</u>	<u>(19,958,639)</u>	<u>-</u>	<u>439,963,419</u>	

The Group is subject to MCIT which is computed at 2% in 2024, 1.5% in 2023 and 1% in 2022 of gross income, as defined under the tax regulations or RCIT, whichever is higher. The details of the Group's MCIT are as follows (amounts in PHP):

Year	Amount	Applied Amount	Expired Amount	Remaining Balance	Valid
2024	964,952	-	-	964,952	2027
2023	1,500,636	(43,575)	-	1,457,061	2026
2022	612,193	(612,193)	-	-	2025
2021	686,785	-	(686,785)	-	2024
	3,764,566	(655,768)	(686,785)	2,422,013	

The Group did not recognize the deferred tax assets on NOLCO, MCIT and other deductible temporary differences of certain subsidiaries as management has assessed that those subsidiaries may not be able to realize their related tax benefits within the prescribed availment period. The NOLCO, MCIT and other deductible temporary differences as of December 31 for which the related deferred tax assets have not been recognized by certain entities in the Group are shown below.

(Amounts in PHP)	2024	
	Amount	Tax Effect
NOLCO	166,792,653	41,698,163
Allowance for inventory obsolescence	32,850,088	8,212,522
Unamortized past service cost	1,345,299	336,325
MCIT	887,843	887,843
Retirement benefit obligation	603,533	150,883
Allowance for impairment of intangible assets	272,127	68,032
Unrealized foreign currency gains – net	(13,147)	(3,387)
	202,738,396	51,350,381

In 2025 and 2024, the Group opted to use itemized deduction in computing for its income tax due, except for certain subsidiaries which still opted to claim OSD in the current year.

23. EQUITY

23.1 Capital Stock

The Parent Company has a total authorized capital stock of P5.0 billion divided into 5,000,000,000 shares with P1 par value.

On June 18, 1996, the Commission issued an Order approving the Registration Statement covering the securities which comprised the Parent Company's entire authorized capital stock. On September 4, 1996, the Parent Company's shares were listed in the PSE and the trading of offer shares commenced.

The Parent Company offered to the public 665,000,000 shares at an offer price of P5.85 per share. The offer shares consist of 524,475,000 primary shares (new shares) and 140,525,000 secondary shares (existing shares).

As of December 31, 2024, the Parent Company has issued shares of 2,030,975,000 (with P1 par value), of which, 468,787,704 are held by the public in 2024. There are 4,196 and 4,192 holders of the listed shares which closed at P1.30 and P1.03 per share as of the last trading days on September 30, 2025 and December 31, 2024, respectively.

23.2 Retained Earnings

The BOD approved the declaration of cash dividends in 2025 and 2024 as follows:

Date of Declaration	Stockholders of Record as of	No. of Shares Outstanding	Amounts in PHP	
			Amount per Share	Total
June 26, 2025	July 15, 2025	1,821,542,000	0.10	182,154,200
June 27, 2024	July 15, 2024	1,821,542,000	0.10	182,154,200

In 2025 and 2024, the dividends were paid within the year of declaration and approval. Retained earnings is restricted to the amount of P115.6 million as of September 30, 2025 and December 31, 2024, equivalent to the cost of 209,433,000 shares held in treasury.

23.3 Revaluation Reserves

The components of this account and its movements are as follows:

(Amounts in PHP)	Notes	2025	2024
Balance at beginning of year		182,941,686	128,781,811
Currency exchange differences on translating financial statements of foreign operations		(17,353,514)	40,424,607
Balance at end of year		165,588,172	169,206,418

23.4 Subsidiary with Material Non-controlling Interest

Noncontrolling interests (NCI) pertain to the 25.0%, 27.0%, 50.0% and 50.0% equity ownership of minority stockholders in Skyworld, Interstar, Starworld and LIIP, respectively. In 2023, the Group sold its shares of stock in Interstar and LIIP (see Notes 1.1).

The selected financial information (before inter-company eliminations) of Starworld and LIIP, which are considered the material NCI are shown below.

	Starworld
	<u>2024</u>
Current assets	533,695,891
Non-current assets	<u>3,526,649</u>
Total assets	<u>537,222,540</u>
Current liabilities	267,161
Non-current liabilities	<u>2,144,627</u>
Total liabilities	<u>2,411,788</u>
Equity (capital deficiency) attributable to owners of the parent	<u>267,405,376</u>
NCI	<u>267,405,376</u>
Revenue	<u>109,104,516</u>
Profit (loss) for the year attributable to owners of the parent	39,398,821
Profit (loss) for the year attributable to NCI	<u>39,398,821</u>
Total comprehensive income (loss) for the year	<u>78,797,642</u>
Net cash used in operating activities	50,800,509
Net cash from investing activities	37,625,720
Net cash used in financing activities	<u>(60,801,510)</u>
	27,624,719
Effect of exchange rate on cash and cash equivalent	<u>688</u>
Net cash inflow (outflow)	<u>27,625,407</u>

The corporate information of Starworld and LIIP, as well as the Parent Company's stockholding thereto, is provided in Note 1.1.

In 2024, cash dividends amounting to P61.6 million was declared to NCI which were paid within the year of declaration and approval.

Management determined that the difference between the respective equity ownership of minority stockholders over the equity of the aforementioned subsidiaries and the amount of NCI recognized in the consolidated statements of financial position is not material to the consolidated financial statements.

24. EARNINGS PER SHARE

Basic earnings per share (EPS) is computed by dividing net profit attributable to the Parent Company's stockholders by the weighted average number of shares issued and outstanding, adjusted retroactively for any stock dividends declared, stock split and reverse stock split declared during the current period.

Diluted EPS is computed by adjusting the weighted average number of ordinary shares outstanding to assume conversion of potential dilutive shares. Currently, the Group does not have potentially dilutive shares outstanding; hence, the diluted earnings per share is equal to the basic earnings per share.

Basic and diluted earnings for profit attributable to the Parent Company's stockholders are computed as follows:

<i>(Amounts in PHP, except share data)</i>	<u>2025</u>	<u>2024</u>
Net profit for the year attributable to the Parent Company's stockholders	<u>456,262,911</u>	<u>268,931,464</u>
Divided by weighted average shares outstanding:		
Number of shares issued	<u>2,030,975,000</u>	<u>2,030,975,000</u>
Treasury shares	<u>(209,433,000)</u>	<u>(209,433,000)</u>
	<u>1,821,542,000</u>	<u>1,821,542,000</u>
Earnings per share – basic and diluted	<u>0.25</u>	<u>0.15</u>

There were no outstanding convertible preferred shares and bonds or other stock equivalents as of September 30, 2025 and 2024 hence; diluted earnings per share is equal to the basic earnings per share.

25. RELATED PARTY TRANSACTIONS

In considering each possible related party relationship, attention is directed to the substance of the relationship and not merely on the legal form. Based on the requirement of the SEC Memorandum Circular 2019-10, *Rules on Material Related Party Transactions for Publicly Listed Companies*, transactions amounting to 10% or more of the total assets based on the latest audited financial statements that were entered into with related parties are considered material. All individual material related party transactions shall be approved by at least two-thirds vote of the BOD, with at least a majority of the independent directors voting to approve the material related party transactions. In case that a majority of the independent director's vote is not secured; the material related party transaction may be ratified by the vote of the stockholders representing at least two-thirds of the outstanding capital stock. For aggregate related party transactions within a one-year period that breaches the 10% materiality threshold, the same board approval would be required for the transaction(s) that meets and exceeds the materiality threshold covering the same related party.

The Group's related parties include other companies owned by the Parent Company's majority stockholders and the Group's key management personnel as described below. The summary of the Group's significant transactions in 2024 with its related parties and the outstanding balances as of December 31, 2024 are as follows:

Related Party Category	Amount of Transaction		Outstanding
	Note	2024	Receivable (Payable) 2024
Related Parties Under			
Common Ownership:			
Purchase of mobile phones	25.1	-	-
Purchase of supplies and services	25.1	-	-
Purchase of spare parts	25.1	-	-
Lease of real property	25.2	6,788,877	-
Refundable deposits	25.2	(1,454,392)	(2,345,697)
Collection of business loans	25.3	-	-
Interest income	25.3	-	-
Reversal of impairment losses	25.4	(4,035,813)	-
Cash advances granted - net of allowance	25.4	4,277,321	6,697,750
Rendering of services	25.5	1,022,910	-
Sale of investment properties	25.6	(78,777,800)	-
Key Management Personnel –			
Compensation	25.7	66,654,103	-

None of the companies under the Group is a joint venture. The Parent Company is not subject to joint control. Related parties that exercise significant influence over the Parent Company are AA Commercial, Inc. and AV Value Holdings Corporation.

Unless otherwise stated, the Group's outstanding receivables from and payables to related parties arising from advances, sale and purchase of goods, management services and other services, are unsecured, noninterest-bearing and generally settled in cash within 12 months from the end of the reporting period.

Based on the management assessment, certain receivables were found to be impaired using the provision matrix; hence, adequate amount of allowance for impairment have been recognized as of December 31, 2024 (see Note 25.4).

25.1 Purchase of Goods, Supplies and Services

In 2022, the Group purchased mobile phones, tablets and accessories at prevailing market prices from Solid Trading Limited (STL), a related party under common ownership which is based in Hong Kong. There are no similar transactions in 2025.

25.2 Lease of Real Property

The Group leases its office space to TCL Sun Inc. (TCL), a related party under common ownership, with a lease term of five years with escalation rates. Likewise, prior to the acquisition, certain subsidiaries leased out land, buildings and office spaces to Avid. Revenues arising from these transactions are presented as part of Rentals under the Revenues of the consolidated statements of income.

Deposits received from the related parties for these lease agreements are refundable at the end of the lease term. The Group received additional deposits in connection with this lease agreement in 2024. The outstanding balance of refundable deposits are presented under Trade and Other Payables in the consolidated statements of financial position (see Note 15).

25.3 Granting of Loans

Prior to the acquisition, the Group granted an unsecured business loan to Avid with the original principal loan amounting to P80.0 million which bears an annual interest rate of 8.0% and is payable on demand. There are no similar transactions in 2024.

25.4 Advances to and from Related Parties

In the normal course of business, certain subsidiaries of the Group grant and obtain unsecured, noninterest-bearing cash advances to and from related parties under common ownership for working capital requirements and other purposes. As of September 30, 2025 and December 31, 2024, outstanding balances of these advances are presented as Advances to and from Related Parties in the consolidated statements of financial position.

In 2024, the Group granted insignificant amount of additional advances to its related party, which remains uncollected as of September 30, 2025. It is presented under Advances to Related Parties in the consolidated statements of financial position.

In 2024, Starworld recovered previously impaired advances from LIIP. The recovery of these amounts occurred as a result of the agreement where LIIP will pay Starworld in installments for 10 years.

25.5 Rendering of Services

In 2024, a certain subsidiary bills TCL service charges for common usage and service area and consumption of utilities. Charges arising from these transactions are presented as Common usage and service area and utilities charges as part of Other operating income under Other Operating Expense section of the consolidated statements of comprehensive income (see Note 19).

As of September 30, 2025 and December 31, 2024, there are no outstanding receivables arising from these transactions.

25.6 Sale of Investment Properties

In 2024, certain subsidiaries sold certain investment properties to AV Value Holdings, a related party under common ownership with a total appraised value of P78.7 million (see Note 12). The net gain/loss on sale is presented as part of Other gains in the Other Income (Charges) section of the 2024 consolidated statement of income.

As of September 30, 2025 there are no outstanding receivables arising from these transactions.

25.7 Key Management Personnel Compensation

The compensation of key management personnel are shown as part of Salaries and employee benefits under General and Administrative Expenses in the consolidated statements of income (see Notes 18 and 21.1).

25.8 Transactions with the Retirement Fund

The Group has established a formal multi-employer retirement plan which is administered by an investment manager, except for certain subsidiaries whose retirement fund remained unfunded as of December 31, 2024.

The retirement fund consists of corporate bonds, government securities and UITF with fair values totaling P265.7 million as of December 31, 2024. The retirement fund neither provides any guarantee nor surety for any obligation of the Group.

The details of the contributions of the Group and benefits paid out by the plan to employees are presented in Note 21.2.

26. SIGNIFICANT CONTRACTS AND AGREEMENTS

26.1 Memorandum of Understanding with SPI

On July 1, 2003, the Group entered into a Memorandum of Understanding (MOU) with SPI for network support for SPI. Under the MOU, SPI authorized the Group to perform in-warranty and out-of-warranty services to customers in the Philippines for a fee calculated as a percentage of SPI's annual sales.

In-warranty services shall be rendered free of charge to customers. The actual cost of replacement parts related to in-warranty services shall be shouldered by SPI. Network support fees are billed at a fixed rate per month. The agreement is effective unless revoked by any of the parties.

Network support fees and in-warranty service fees relating to SPI products amounted to P79.9 million in 2024 and are presented as part of Rendering of Services in the consolidated statements of income.

The outstanding balances arising from these transactions amounting to P8.8 million as of December 31, 2024 are included as part of Trade receivables under the Trade and Other Receivables in the consolidated statements of financial position (see Note 6.1).

26.2 Distributorship Agreement with Sony Corporation of Hong Kong Limited (Sony HK)

The Group has a non-exclusive Distributorship Agreement (the Agreement) with Sony HK, a corporation organized and existing under and by virtue of the laws of Hong Kong. Under the Agreement, the Group was designated by Sony HK as its non-exclusive distributor of Sony products in the Philippines. In addition, the Group shall provide the customers in the Philippines with repair and parts replacement services, including but not limited to repair and parts replacement services rendered by the Group which are covered under the 12 month-warranty period at its own costs and expenses.

26.3 Management Agreement with Sky Cable Corporation

For continuity of services to subscribers, the Group and SkyCable Corporation (SkyCable) undertook to cooperate with each other and to execute further actions as may be necessary to carry out the purposes of the agreement on sale of assets pending the approval of the National Telecommunications Commission (NTC).

The Management Agreement shall be automatically terminated on the date of the NTC's approval of the transfer of the assets in favor of SkyCable. As of September 30, 2025, the NTC approval has not yet been obtained.

The Group was given the overall power and responsibility to handle all aspects necessary to carry out the administration and operations of SkyCable and to accord the necessary additional authorizations, should the need arise.

Revenues arising from these transactions is presented as part of Rendering of services under Revenues in the consolidated statements of income. The outstanding receivable amounted to P8.2 million as of December 31, 2024 is included as part of Trade receivables under Trade and Other Receivables in the consolidated statements of financial position (see Note 6.1).

26.4 Agreement with LF (Philippines) Inc.

In 2022, Precos, Inc. entered into a Built-to-Specification Agreement with a third-party lessee for the construction of a warehouse, which would be leased for 15 years with an option to renew for an additional 5 years. The lease commenced on August 1, 2024, prior to full completion, as the lessee had already taken possession. The initial certificate of completion was issued on October 15, 2024, with full construction completed by December 31, 2024, and the final certificate of completion issued on January 31, 2025.

27. COMMITMENTS AND CONTINGENCIES

The following are the significant commitments and contingencies involving the Group:

27.1 Operating Lease Commitments – Group as Lessor

Certain subsidiaries are lessors under various non-cancellable operating lease agreements covering certain real estate properties. These leases have terms ranging from one to 15 years, with renewal options, and include annual escalation rates ranging from 5% to 10%. These subsidiaries receive fixed monthly payments.

The Group is subject to risks associated with the rights it retains in the properties it leases, such as alterations made by the lessee that may impair the value of the leased properties. To manage the exposure on such risks, the Group exercises strict control over the fit-out process and no alterations are allowed to be made without prior approval of the Group. The Group also requires security deposits and advance rentals equivalent to at least three months of rent. Moreover, the Group retains its right to inspect the leased properties during the lease term. In case of expiration of lease term or early termination due to the default of the lessee, the Group is entitled to the improvements installed on the leased properties without an obligation to reimburse the lessee for the costs of improvements.

The future minimum lease receivables under these non-cancellable operating leases as of December 31 are presented below.

<i>(Amounts in PHP)</i>	<u>2024</u>
Within one year	305,588,482
After one year but not more than two years	339,747,394
After two years but not more than three years	352,839,786
After three years but not more than four years	293,806,458
After four years but not more than five years	277,403,141
More than five years	<u>2,882,991,015</u>
	<u>4,452,376,276</u>

The total rent income recognized from these transactions, including rent income resulting from the application of the straight-line basis of revenue recognition for the reporting periods, are presented as Rentals under Revenues section of the consolidated statements of income. There was no contingent rent (i.e., variable rent considerations) related to these operating leases.

27.2 Purchase Commitments

In 2007, the Group has entered into several construction contracts with various subcontractors for the construction of Tri-Towers condominium building. The construction of Tower 1 and Tower 2 were completed in 2008 and 2012, respectively, while the construction of Tower 3 has not yet started, yet it has incurred expenses for the planning phase as of September 30, 2025 and 2023 (see Note 9.2).

27.3 Deficiency Tax Assessments

Certain subsidiaries have outstanding deficiency tax assessments with the BIR and outstanding tax cases filed with the Court of Tax Appeals (CTA) covering the taxable years 2011, 2012, 2013, 2014, 2015, 2016, 2017 and 2022 to which the BIR and CTA have sought to investigate, and consequently, examine certain books, records and accounts that relate to transactions in the ordinary course of business. Pursuant to the Group's policy of addressing such actions in line with prudent business practice, the Group has engaged tax counsel and advisors in relation to these matters.

As of September 30, 2025, the majority of these deficiency tax assessments and tax cases are still under protest or reconsideration. Management believes that the Group has enough legal basis under the law to support their claims, and that the outcome of such tax assessments will not have a material impact in the Group's consolidated financial statements; hence, no provision was recognized as of September 30, 2025.

27.4 Others

The Group has unused credit facilities amounting to P1.3 billion in 2025 and 2024.

There are other commitments, guarantees, litigations and contingent liabilities that arise in the normal course of the Group's operations which are not reflected in the consolidated financial statements. As of September 30, 2025 and December 31, 2024, management is of the opinion that losses, if any, that may arise from these

commitments and contingencies will not have a material effect on the Group's consolidated financial statements.

28. RISK MANAGEMENT OBJECTIVES AND POLICIES

The Group is exposed to a variety of financial risks in relation to financial instruments. The Group's financial assets and liabilities by category are summarized in Note 29. The main types of risks are market risk, credit risk, liquidity risk and operational risk.

The Group's risk management is coordinated with the Parent Company's BOD and focuses on actively securing the Group's short to medium-term cash flows by minimizing the exposure to financial markets. Long-term financial investments are managed to generate continuous returns.

The Group does not engage in the trading of financial assets for speculative purposes, nor does it write options. The most significant financial risks to which the Group is exposed are described below and on the succeeding pages.

28.1 Market Risk

The Group is exposed to market risk through its use of financial instruments and specifically to foreign currency risk, interest rate risk and certain other price risk which result from its operating, investing and financing activities.

(a) Foreign Currency Risk

Most of the Group's transactions are carried out in Philippine pesos, its functional currency. Exposures to currency exchange rates arise from the Group's foreign currency denominated trade and other receivables and trade and other payables, which are primarily denominated in USD and Hong Kong Dollar (HKD). The Group also holds USD-denominated and HKD-denominated cash and cash equivalents.

To mitigate the Group's exposure to foreign currency risk, non-Philippine peso cash flows are monitored.

Foreign currency-denominated financial assets and financial liabilities, translated into Philippine pesos at the closing rate are as follows:

(Amounts in PHP)	2025		2024	
	USD	HKD	USD	HKD
Financial assets	226,662,115	4,776,812	201,109,179	14,464,689
Financial liabilities	(354,964)	-	-	-
Short-term exposure	226,307,151	4,776,812	201,109,179	14,464,689

The following table illustrates the sensitivity of the Group's profit before tax as of September 30, 2025 and December 31, 2024 with respect to changes in the exchange rates of Philippine peso against foreign currencies. The percentage changes in rates have been determined based on the average market volatility in exchange rates, using standard deviation, in the previous 12 months prior to the end of the reporting period at a 99% confidence level.

	2025		2024	
(Amounts in PHP)	Reasonably Possible Change in Rate	Effect in Profit Before Tax	Reasonably Possible Change in Rate	Effect in Profit Before Tax
PHP – USD	14.52%	32,867,197	14.19%	28,537,393
PHP – HKD	14.62%	698,391	14.14%	2,045,307
		<u>33,565,588</u>		<u>30,582,700</u>

If the Philippine peso had strengthened against the USD and HKD, with all other variables held constant, the Group's profit before tax would have been lower by P33.56 million and P30.58 million in 2025 and 2024, respectively. Conversely, if the Philippine peso had weakened against the USD and HKD by the same percentage, with all variables held constant, profit before tax and equity would have been higher in 2025 and 2024 by the same amount.

Exposures to foreign exchange rates vary during the period depending on the volume of foreign currency denominated transactions. Nonetheless, the analysis above is considered to be a reasonable estimation of the Group's currency risk.

(b) *Interest Rate Risk*

As of September 30, 2025 and December 31, 2024, the Group is exposed to changes in market interest rates through its cash and cash equivalents, short-term placements, loans receivables and interest-bearing loans which are subject to variable interest rates. All other financial assets and financial liabilities have fixed rates or are noninterest-bearing.

The sensitivity of profit or loss before tax is based on a reasonably possible change in interest rates of +/-2.03% in 2025 and +/-2.35% in 2024 for Philippine peso. On the other hand, the Group's exposure to foreign currency interest rates is insignificant. These changes in rates have been determined based on the average market volatility in interest rates, using standard deviation, in the previous 12 months, estimated at 99% level of confidence. The sensitivity analysis is based on the Group's financial instruments held at each reporting date, with the effect estimated from the beginning of the year. All other variables are held constant.

The changes in percentages would affect profit or loss before tax by +/-P85.2 million and +/-P76.9 million in 2025 and 2024, respectively.

(c) *Other Price Risk*

The Group's market price risk arises from its investments carried at fair value (i.e., financial assets measured at FVOCI). The Group manages exposure to price risk by monitoring the changes in the market price of the investments and at some extent, diversifying the investment portfolio in accordance with the limit set by management.

28.2 Credit Risk

Credit risk is the risk that the counterparties may fail to discharge an obligation to the Group. The Group is exposed to this risk for various financial instruments arising from

granting loans and selling goods and services to customers including related parties, placing deposits with banks.

The Group continuously monitors defaults of customers and other counterparties, identified either individually or by group, and incorporates this information into its credit risk controls. Where available at a reasonable cost, external credit ratings and/or reports and other counterparties are obtained and used. The Group's policy is to deal only with creditworthy counterparties. In addition, for a significant proportion of real estate sales, advance payments are received to mitigate credit risk.

The maximum credit risk exposure of financial assets is the carrying amount of the financial assets as shown in the consolidated statements of financial position and in the detailed analysis provided in the notes to the consolidated financial statements, as summarized below.

<i>(Amounts in PHP)</i>	Notes	2025	2024
Cash and cash equivalents	5.1	2,554,540,628	3,077,901,933
Short-term placements	5.2	768,328,962	200,271,282
Trade and other receivables – net*	6	1,000,597,804	872,327,570
Investment in bonds	7.2	20,000,000	20,000,000
Refundable deposits**	13	39,409,110	41,917,776
Advances to related parties	25.4	6,459,692	6,697,750
Cash bond**	13	16,685,987	15,635,346
		<u>4,406,022,183</u>	<u>4,234,751,557</u>

* *Except for Advances to suppliers and employees*

** *Presented as part of Other Assets*

The Group's management considers that all the above financial assets that are not impaired or past due at the end of each reporting period are of good credit quality.

None of the Group's financial assets are secured by collateral or other credit enhancements, except for cash and cash equivalents and short-term placements as described on the succeeding pages.

(a) Cash and Cash Equivalents and Short-term Placements

The credit risk for cash and cash equivalents and short-term placements in the consolidated statements of financial position is considered negligible since the counterparties are reputable banks with high quality external credit ratings.

Included in the cash and cash equivalents are cash in banks and cash equivalent with maturities of less than three months, and short-term placements which are insured by the Philippine Deposit Insurance Corporation up to a maximum coverage of P0.5 million for every depositor per banking institution. Effective March 15, 2025, the maximum coverage increased to P1.0 million for every depositor per banking institution.

(b) *Trade and Other Receivables*

The Group applies the simplified approach in measuring ECL which uses a lifetime expected loss allowance for all trade receivables and other receivables.

With respect to other receivables from third parties, management assessed that these financial assets have a low probability of default since the Group can apply the related payables to these counterparties in case it defaults.

For loans receivable, the Group is not exposed to significant credit risk to any single counterparty or any group of counterparties having similar characteristics. Based on historical information about borrower default rates, management considers the credit quality of loans receivables that are not past due or impaired in assessing the credit risk. Further, the Group holds collateral against loans and other receivables in the form of personal guaranty, chattel mortgage and other forms of security. Estimates of fair value are based on the value of collateral assessed at the time of borrowing and are generally updated annually.

To measure the ECL, trade and other receivables have been grouped based on shared credit risk characteristics and the days past due (age buckets). The Group also concluded that the expected loss rates for trade receivables are a reasonable approximation of the loss rates for the other receivables as it shares the same credit risk characteristics.

The calculation of ECL incorporates forward-looking information. The Group has performed historical analysis and identified the key economic value factors, which includes gross domestic product, inflation and consumer price index, affecting credit risk and ECL for the loan portfolio.

On that basis, the loss allowance as of December 31, 2024 was determined based on months past due, for trade and other receivables (except advances to suppliers and employees, interest receivables and cash surrender value of investment in life insurance) are below.

<i>(Amounts in PHP)</i>	Not more than 60 days	More than 60 days but not more than 90 days	More than 90 days but not more than 120 days	More than 120 days	Total
December 31, 2024					
Expected loss rate	0.48%	14.29%	13.25%	84.24%	
Gross carrying amount	351,059,382	11,140,373	37,691,080	117,007,645	516,898,480
Loss allowance	1,686,118	1,591,737	4,996,677	98,566,109	106,840,641

(c) *Advances to Related Parties*

For intercompany receivables that are repayable on demand, the ECL is based on the assumption that repayment of the receivables is demanded at the reporting date. The management determines the probability of collection upon demand. If a related party is unable to make repayment, the management considers the manner of recovery (i.e., sustained operations, availability of liquid and illiquid asset, etc.) to measure the ECL.

(d) *Refundable and Other Deposits*

With respect to refundable and other deposits, management assessed that these financial assets have a low probability of default since these relate to reputable power and water distribution companies (i.e., with high quality external credit rating). Moreover, the Group has operating lease contracts as lessee with the counterparty lessors, wherein the Group can refund by the end of the term or can apply to future lease payments in case of defaults.

(e) *Investment in Bonds*

Investment in bonds measured at amortized cost are considered to have low credit risk, and therefore, the loss allowance during the period is determined to be equivalent to 12 months ECL. Management considers “low credit risk” for listed bonds to be an investment grade credit rating with at least one major rating agency. Other instruments are considered to be low credit risk when they have a low risk of default, and the issuer has a strong capacity to meet its contractual cash flow obligations in the near term.

No impairment loss on investment in bonds has been recognized in 2025 and 2024 since the bonds are in good credit standing as of September 30, 2025 and December 31, 2024.

(f) *Cash Bond*

With respect to cash bond, management assessed that this financial asset has low probability of default since this relates to refundable deposits made by the Group for its application for conversion of land.

28.3 Liquidity Risk

Liquidity risk is the risk that cash may not be available to meet operating requirements and to pay obligations when due at a reasonable cost. Prudent liquidity risk management requires maintaining sufficient cash and credit facilities at reasonable cost to satisfy current requirements whenever the need arises. The Group aims to maintain flexibility in funding by keeping committed credit lines available.

The Group manages its liquidity needs by carefully monitoring scheduled debt servicing payments for long-term financial liabilities as well as cash outflows due in a day-to-day business. Liquidity needs are monitored in various time bands, on a day-to-day and week-to-week basis, as well as on the basis of a rolling 30-day projection. Long-term liquidity needs for a 6-month and one-year period are identified monthly. The Group maintains cash to meet its liquidity requirements for up to 60-day periods. Excess cash is invested in short-term placements. Funding for long-term liquidity needs is additionally secured by an adequate amount of committed credit facilities and the ability to sell long-term financial assets.

As of September 30, 2025 and December 31, 2024, the Group's financial liabilities [except for lease liabilities (see Note 10.2)] have contractual maturities, which are presented below.

<i>(Amounts in PHP)</i>	Current		Non-current
	Within 6 months	7 to 12 Months	More than 1 Year
2025			
Trade and other payables	417,619,314	-	-
Refundable deposits	-	-	21,645,519
Interest-bearing loans	38,806,155	48,574,761	1,132,185,504
	<u>456,425,469</u>	<u>48,574,761</u>	<u>1,153,831,023</u>
2024			
Trade and other payables	534,490,746	-	-
Refundable deposits	-	-	21,645,519
Interest-bearing loans	29,175,611	29,335,917	1,204,997,356
	<u>563,666,357</u>	<u>29,335,917</u>	<u>1,226,642,875</u>

The contractual maturities reflect the gross cash flows, which may differ with the carrying values of the financial liabilities at the end of the reporting period.

28.4 Operational Risk

The Group's exposure to significant operational risk relates to SMFI's secondary license to operate as a financing company under R.A. No. 8556 (see Note 1.2). Also, SMFI is under the regulation of the Commission. Management is aware that the Group will always have operational risk but seeks to minimize the probability and impact of such in its operations and consolidated financial statements.

The Group manages this risk through applicable controls, process and procedures, including effective organization structure. Internal controls ensure compliance with laws and regulations, including R.A. No. 8556 and SEC regulations, and the overall protection of SMFI's resources.

SMFI, as a financing company, is subject to, but not limited to, the following regulatory requirements under the implementing rules and regulations of the provisions of R.A. No. 8556:

- (a) Total investment in real estate and in shares of stock in a real estate development corporation shall not exceed 25% of its net worth;
- (b) More than 50% of the funds are invested in financing company activities;
- (c) Total credit extended to its directors, officers, and stockholders shall not exceed 15% of its net worth; and,
- (d) Total credit extended to any person, company, corporation or firm shall not exceed 30% of its net worth.

As of September 30, 2025 and December 31, 2024, the Group is compliant with the foregoing requirements.

29. CATEGORIES AND OFFSETTING OF FINANCIAL ASSETS AND FINANCIAL LIABILITIES

29.1 Carrying Amounts and Fair Values by Category

The carrying amounts and fair values of the categories of financial assets and financial liabilities presented in the consolidated statements of financial position are shown below.

(Amounts in PHP)	Notes	2025		2024	
		Carrying Amounts	Fair Values	Carrying Amounts	Fair Values
Financial assets					
At amortized cost:					
Cash and cash equivalents	5.1	2,554,540,628	2,554,540,628	3,077,901,933	3,077,901,933
Short-term placements	5.2	768,328,962	768,328,962	200,271,182	200,271,182
Trade and other receivables – net	6	1,000,597,804	1,000,597,804	872,327,570	872,327,570
Investment in bonds	7.2	20,000,000	20,000,000	20,000,000	18,521,880
Refundable deposits	13	39,409,110	39,409,110	41,917,776	41,917,776
Advances to related parties	25.4	6,459,692	6,459,692	6,697,750	6,697,750
Cash bond	13	16,685,987	16,685,987	15,635,346	15,635,346
		<u>4,406,022,183</u>	<u>4,406,022,183</u>	<u>4,234,751,557</u>	<u>4,233,273,437</u>
Financial assets at FVOCI	7.1	<u>74,200,000</u>	<u>74,200,000</u>	<u>74,200,000</u>	<u>74,200,000</u>
		<u>4,480,222,183</u>	<u>4,480,222,183</u>	<u>4,308,951,557</u>	<u>4,307,473,437</u>
Financial Liabilities					
At amortized cost					
Interest-bearing loans	14	875,000,000	875,000,000	875,000,000	819,499,388
Trade and other payables	15	417,619,314	417,619,314	534,490,746	534,490,746
Refundable deposits	16	21,645,519	21,645,519	21,645,519	21,645,519
Lease liabilities	10.2	1,393,056	1,393,056	3,907,873	3,907,873
		<u>1,315,657,889</u>	<u>1,315,657,889</u>	<u>1,435,044,138</u>	<u>1,379,543,526</u>

A description of the Group's risk management objectives and policies for financial instruments is provided in Note 28.

29.2 Offsetting of Financial Instruments

The Group has not set off financial instruments as of September 30, 2025 and December 31, 2024 and it does not have relevant offsetting arrangements. Currently, financial assets and financial liabilities are settled on a gross basis; however, each party to the financial instrument (particularly related parties) may have the option to settle all such amounts on a net basis in the event of default of the other party through approval by the respective BODs and stockholders of both parties.

The financial assets presented as part of Advances to Related Parties can be offset by the amount of outstanding Advances from Related Parties, if any, in the consolidated statements of financial position (see Note 25.4).

For financial assets and financial liabilities subject to enforceable master netting agreements or similar arrangements above, certain agreements between the Group and counterparties allows for net settlement of the relevant financial assets and financial liabilities when both parties elect to settle on a net basis. In the absence of such an election, financial assets and financial liabilities will be settled on a gross basis, however,

each party to the master netting agreement or similar agreement will have the option to settle all such amounts on a net basis in the event of default of the other party.

30. FAIR VALUE MEASUREMENTS AND DISCLOSURES

30.1 Fair Value Hierarchy

In accordance with PFRS 13, *Fair Value Measurement*, the fair value of financial assets and financial liabilities, and non-financial assets which are measured at fair value on a recurring or non-recurring basis and those assets and liabilities not measured at fair value but for which fair value is disclosed in accordance with other relevant PFRS Accounting Standards, are categorized into three levels based on the significance of inputs used to measure the fair value. The fair value hierarchy has the following levels as follows.

- Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities that an entity can access at measurement date;
- Level 2: inputs other than quoted prices included within Level 1 that are observable for the financial asset or financial liability, either directly (i.e., as prices) or indirectly (i.e., derived from prices); and,
- Level 3: inputs for the financial asset or financial liability that are not based on observable market data (unobservable inputs).

The level within which the financial asset or financial liability is classified is determined based on the lowest level of significant input to the fair value measurement.

For purposes of determining the market value at Level 1, a market is regarded as active if quoted prices are readily and regularly available from an exchange, dealer, broker, industry group, pricing service, or regulatory agency, and those prices represent actual and regularly occurring market transactions on an arm's length basis.

For investments which do not have quoted market price, the fair value is determined by using generally acceptable pricing models and valuation techniques or by reference to the current market of another instrument which is substantially the same after taking into account the related credit risk of counterparties or is calculated based on the expected cash flows of the underlying net asset base of the instrument.

When the Group uses valuation technique, it maximizes the use of observable market data where it is available and relies as little as possible on entity specific estimates. If all significant inputs required to determine the fair value of an instrument are observable, the instrument is included in Level 2. Otherwise, it is included in Level 3.

30.2 Financial Instruments Measured at Fair Value

The Group's financial assets at FVOCI include proprietary golf club shares which are categorized within Level 2 as their prices are not derived from market considered due to lack of trading activities among market participants at the end or close to the end of the reporting period. As of September 30, 2025 and December 31, 2024, the Group's financial assets at FVOCI measured at fair value amounted to both P74.2 million. (see Note 7.1).

The Group has no financial liabilities measured at fair value as of September 30, 2025 and December 31, 2024. Also, there were neither transfers between Levels 1 and 3 nor changes in the carrying amount of Level 2 instruments in both years.

30.3 Financial Instruments Measured at Amortized Cost for which Fair Value is Disclosed

The tables on the succeeding page summarize the fair value hierarchy of the Group's financial assets and financial liabilities which are not measured at fair value in the consolidated statements of financial position but for which fair value is disclosed.

<i>(Amounts in PHP)</i>	Notes	Level 1	Level 3	Total
2025				
Financial Assets				
<i>At amortized cost:</i>				
Cash and cash equivalents	5.1	2,554,540,628	-	2,554,540,628
Short-term placements	5.2	768,328,962	-	768,328,962
Trade and other receivables – net	6	-	1,000,597,804	1,000,597,804
Investment in bonds	7.2	20,000,000	-	20,000,000
Refundable deposits	13	-	39,409,110	39,409,110
Advances to related parties	25.4	-	6,459,692	6,459,692
Cash bond	13	-	16,685,987	16,685,987
		<u>3,342,869,590</u>	<u>1,063,152,593</u>	<u>4,406,022,183</u>
Financial Liabilities				
<i>At amortized cost:</i>				
Interest-bearing loans	14	-	875,000,000	875,000,000
Trade and other payables	15	-	417,619,314	417,619,314
Refundable deposits	16	-	21,645,519	21,645,519
Lease liabilities	10.2	-	1,393,056	1,393,056
		<u>-</u>	<u>1,315,657,889</u>	<u>1,315,657,889</u>
2024				
Financial Assets				
<i>At amortized cost:</i>				
Cash and cash equivalents	5.1	3,077,901,933	-	3,077,901,933
Short-term placements	5.2	200,271,182	-	200,271,182
Trade and other receivables – net	6	-	872,327,570	872,327,570
Investment in bonds	7.2	18,521,880	-	18,521,880
Refundable deposits	13	-	41,917,776	41,917,776
Advances to related parties	25.4	-	6,697,750	6,697,750
Cash bond	13	-	15,635,346	15,635,346
		<u>3,296,694,995</u>	<u>936,578,442</u>	<u>4,233,273,437</u>
Financial Liabilities				
<i>At amortized cost:</i>				
Interest-bearing loans	14	-	819,499,388	819,499,388
Trade and other payables	15	-	534,490,746	534,490,746
Refundable deposits	16	-	21,645,519	21,645,519
Lease liabilities	10.2	-	3,907,873	3,907,873
		<u>-</u>	<u>1,379,543,526</u>	<u>1,379,543,526</u>

For financial assets with fair values included in Level 1, management considers that the carrying amounts of these financial instruments approximate their fair values due to their short duration.

The fair values of the financial assets and financial liabilities included in Level 3, which are not traded in an active market, are determined based on the expected cash flows of

the underlying net asset or liability based on the instrument where the significant inputs required to determine the fair value of such instruments are not based on observable market data. Further, management considers that the carrying amounts of these financial instruments approximate their fair values as the effect of discounting is insignificant.

30.4 Fair Value Measurements of Non-financial Assets

The fair value of the Group's investment properties is determined on the basis of the appraisals performed by an independent appraiser with appropriate qualifications and recent experience in the valuation of similar properties in the relevant locations. To some extent, the valuation process was conducted by the appraisers in discussion with the Group's management with respect to the determination of the inputs such as the size, age, and condition of the land and buildings, and the comparable prices in the corresponding property location. In estimating the fair value of these properties, management takes into account the market participant's ability to generate economic benefits by using the assets in their highest and best use. Based on management assessment, the best use of the Group's non-financial assets indicated above is their current use.

The fair value of these non-financial assets was determined based on the following approaches (see Note 12):

(a) Fair Value Measurement for Land and Improvements

The Level 2 fair value of land and improvements amounted to P5,602.0 million as of December 31, 2024 and was derived through appraisals by independent valuation specialists using market-based valuation approach where prices of comparable properties are adequate for specific market factors such as location and condition of the property.

(b) Fair Value Measurement for Building and Building Improvements

The Level 3 fair value of the buildings and improvements amounted to P2,253.5 million in December 31, 2024, and was derived through appraisals by independent valuation specialists using cost approach that reflects the current replacement cost in accordance with the prevailing market prices for materials, equipment, labor, contractor's overhead, profit, fees and all other construction costs of the properties. As the value of the properties is not readily observable as to the current market information, the independent appraiser adjusted the valuation based on the useful life and depreciation over time, accounting for wear and tear.

(c) Fair Value Measurement for Construction in Progress

The Level 3 fair value of the construction in progress amounted to P86.2 million as of December 31, 2024. These fair values were determined using the cost approach that reflects the cost to a market participant to construct an asset of comparable usage, construction standards, design and layout, adjusted for obsolescence. The more significant inputs used in the valuation include direct and indirect costs of construction such as but not limited to, labor and contractor's profit, materials and equipment, surveying and permit costs, electricity and utility costs, architectural and engineering fees, insurance and legal fees.

These inputs were derived from various suppliers and contractor's quotes, price catalogues, and construction price indices. Under this approach, higher estimated costs used in the valuation will result in higher fair value of the properties.

The discount rates and terminal capitalization rates were determined with reference to published risk free rates and risk premium rates at the date of valuation.

There has been no change to the valuation techniques used by the Group during the year for its non-financial assets. Also, there were no transfers into or out of Level 3 fair value hierarchy in 2025 and 2024.

31. CAPITAL MANAGEMENT OBJECTIVES, POLICIES AND PROCEDURES

The Group's capital management objectives are to ensure the Group's ability to continue as a going concern and to provide an adequate return to shareholders by pricing products and services commensurately with the level of risk.

The Group sets the amount of capital in proportion to its overall financing structure, i.e., equity and total liabilities, excluding amounts advances from related parties. The Group manages the capital structure and makes adjustments to it in the light of changes in economic conditions and the risk characteristics of the underlying assets. In order to maintain or adjust the capital structure, the Group may adjust the amount of dividends paid to shareholders, issue new shares or sell assets to reduce debt.

The Group monitors capital on the basis of the carrying amount of equity as presented on the face of the consolidated statements of financial position. The Group's goal in capital management is to maintain a debt-to-equity structure ratio of not higher than 1:1 on a monthly basis.

The computation of the Group's debt-to-equity ratio is presented below.

<i>(Amounts in PHP)</i>	<u>2025</u>	<u>2024</u>
Total liabilities	2,670,247,162	2,734,246,816
Total equity	13,052,502,717	12,766,679,185
	<u>0.20: 1.00</u>	<u>0.21 : 1.00</u>

As of September 30, 2025 and December 31, 2024, the Group is not subject to any externally imposed capital requirements, except for SMFI. Under Section 6 of R.A. No. 8556, SMFI is subject to an externally imposed capital requirement of a minimum of P10.0 million paid-up capital. SMFI is in compliance with the minimum paid-up capital requirement as of September 30, 2025 and December 31, 2024.

Solid Group Inc. and Subsidiaries
Schedule of Financial Soundness Indicators

RATIO		FORMULA		Unaudited for the period ended September 30, 2025		Audited as of December 31, 2024	
Current ratio		$\frac{\text{Current Assets}}{\text{Current Liabilities}}$		$\frac{5,137,129,121}{601,646,171}$	8.54	$\frac{5,066,355,417}{680,352,166}$	7.45
Acid Test ratio		$\frac{\text{Quick Assets (Cash \& Cash Equivalents} \\ \text{+ Short term Placements} \\ \text{+ Trade Receivables)}}{\text{Current Liabilities}}$		$\frac{3,876,549,699}{601,646,171}$	6.44	$\frac{3,713,925,236}{680,352,166}$	5.46
Solvency ratio		$\frac{\text{Total Liabilities}}{\text{Total Assets}}$		$\frac{2,670,247,162}{15,722,749,879}$	0.17	$\frac{2,734,246,816}{15,500,926,001}$	0.18
Debt to Equity ratio		$\frac{\text{Total Liabilities (excluding} \\ \text{advances from related parties)}}{\text{Total Equity}}$		$\frac{2,670,247,162}{13,052,502,717}$	0.20	$\frac{2,734,246,816}{12,766,679,185}$	0.21
Gearing ratio		$\frac{\text{Financial Debt}}{\text{Total Equity}}$		$\frac{875,000,000}{13,052,502,717}$	0.07	$\frac{875,000,000}{12,766,679,185}$	0.07
Asset to Equity ratio		$\frac{\text{Total Assets}}{\text{Total Equity}}$		$\frac{15,722,749,879}{13,052,502,717}$	1.20	$\frac{15,500,926,001}{12,766,679,185}$	1.21
RATIO		FORMULA		Unaudited for the period ended September 30, 2025		Unaudited for the period ended September 30, 2024	
Interest Coverage ratio		$\frac{\text{EBIT (Earnings before interest and tax)}}{\text{Interest Expense}}$		$\frac{640,435,853}{41,505,661}$	15.43	$\frac{410,964,877}{384,873}$	1,067.79
Operating Margin		$\frac{\text{Operating Profit (Loss)}}{\text{Total Revenues}}$		$\frac{544,810,605}{2,299,866,188}$	23.69%	$\frac{227,560,279}{1,856,470,501}$	12.26%
Net Profit Margin		$\frac{\text{Net Profit (Loss) after Tax}}{\text{Total Revenues}}$		$\frac{463,727,232}{2,299,866,188}$	20.16%	$\frac{307,618,357}{1,856,470,501}$	16.57%
Return on Total Assets		$\frac{\text{Net Profit (Loss) after Tax (annualized)}}{\text{Average Total Assets}}$		$\frac{618,302,976}{15,611,837,940}$	3.96%	$\frac{410,157,809}{14,531,496,894}$	2.82%
Return on Equity		$\frac{\text{Net Profit (Loss) after Tax (annualized)}}{\text{Total Equity}}$		$\frac{618,302,976}{13,052,502,717}$	4.74%	$\frac{410,157,809}{12,486,174,659}$	3.28%

SOLID GROUP INC. & SUBSIDIARIES
AGING OF TRADE AND OTHER RECEIVABLES
SEPTEMBER 30, 2025

	Current	1-30 days	31-60 days	61-90 days	91 days & over	TOTAL
TRADE RECEIVABLES	102,452,918	62,979,595	20,625,468	10,024,354	124,966,543	321,048,878
LOANS RECEIVABLES	85,517,617	-	-	-	774,351	86,291,968
DEPOSIT TO SUPPLIERS	2,184,455	4,392,004	386,898	-	8,702,863	15,666,220
RECEIVABLE FROM OFFICERS AND EMPLOYEES	1,256,414	556,530	397,466	323,588	1,905,082	4,439,080
RENTAL RECEIVABLES	184,723,312	5,600,937	1,723,868	224,364	2,990,344	195,262,824
INTEREST RECEIVABLES	10,026,535	-	-	-	-	10,026,535
OTHER RECEIVABLES	5,088,216	1,722,108	4,322,019	727,934	13,411,024	25,271,301
TOTAL	391,249,466	75,251,174	27,455,719	11,300,240	152,750,207	658,006,806
ALLOWANCE FOR IMPAIRMENT						(104,326,697)
TRADE AND OTHER RECEIVABLES, NET						553,680,109